RIVONIA GATE BODY CORPORATE

Reg. No.: SS/414/2006

ACCOUNT NO.: 5477514210

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IMPORTANT NOTICE

DISCLOSURE NOTICE IN TERMS OF SECTION 49 OF THE CONSUMER PROTECTION ACT 68 OF 2008

By signing directly below, the intended CUSTOMER, RIVONIA GATE BODY CORPORATE, confirms that this notice was provided to it, that it had time to study this notice, the intended electricity supply agreement and its annexures, prior to it signing and agreeing to the terms and annexures of the said electricity supply agreement, and that it understands, generally, the potential effect of all of the provisions of the intended electricity supply agreement, but specifically, the highlighted clauses further explained in the next paragraph.

This notice is to draw the attention of the intended CUSTOMER to the specific clauses highlighted in bold font, in the intended electricity supply agreement and its annexures that may contain a limitation of risk or liability or an indemnification of Eskom Holdings SOC Ltd, or constitute an assumption of risk or liability by the intended CUSTOMER. Clauses containing obligations of the intended CUSTOMER are not summarily highlighted but are as important as all the provisions of the intended electricity supply agreement and its annexures.

Signed at Johannesburg on 05 Febuary 2024 date

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Intended CUSTOMER

PROJECT REFERENCE: 5477514210

ELECTRICITY SUPPLY AGREEMENT

SECTION A: GENERAL

1. PARTIES

The Parties to this Agreement are -

ESKOM HOLDINGS SOC LTD
(Registration Number: 2002/015527/30) a state-owned company with limited liability incorporated in terms of the laws of the Republic of South Africa with its registered office at Megawatt Park, Maxwell Drive, Sandton

('ESKOM') herein represented by NOLUTHANDO NTSADA in her capacity as KEY CUSTOMER RELATIONS MANAGER

- AND –

RIVONIA GATE BODY CORPORATE Reg. No.: SS/414/2006

('the CUSTOMER'), herein represented by……in his/her/their capacity/capacities as……

2. INTRODUCTION

2.1 The CUSTOMER has applied to ESKOM for a bulk supply of electricity for purposes of reselling it to its customers as indicated in Annexure 'M' (Form of Customer Categories) and located **at** PTN 178 AND RE 180 RIVONIA BOULEVARD, EDENBURG (**'the Property'**). The Parties have agreed that the Existing Supply Agreement shall be terminated and replaced by this Agreement.

2.2 ESKOM's environmental commitment continues to be based on the efficient use of natural resources while controlling activities that impact on the environment. This approach is summarised in ESKOM's Environmental Policy which commits ESKOM to the following:

2.2.1 continually improving environmental performance;

2.2.2 complying with applicable legislation and regulations as well as other requirements; and

2.2.3 preventing pollution of the environment.

ESKOM would like to encourage all its customers to adopt a similar approach to environmental management.

2.3 For purposes of clarity, it is recorded that this Agreement is not intended to regulate or govern any aspect of the initial physical construction of the Eskom Connection Works.

3. DEFINITIONS AND INTERPRETATION

3.1 DEFINITIONS

3.1.1 Where applicable and unless inconsistent with the context, the capitalised words and expressions used in this Agreement shall have the meanings ascribed to them in Annexure 'A' (*Definitions*) and cognate expressions shall have corresponding meanings.

3.1.2 Any capitalised words and expressions used but not defined in this Agreement shall have the meanings ascribed to them in the applicable Schedule of Standard Prices.

3.1.3 Capitalised words and expressions defined in this Agreement shall bear the same meanings in the Annexures and Schedules to this Agreement unless specifically defined in those Annexures and/or Schedules.

3.2 INTERPRETATION

3.2.1 The headings to the Clauses and sub-clauses in this Agreement are for the purpose of convenience and reference only, and shall not be used in the interpretation, modification, and/or amplification of any Clause thereof.

3.2.2 In this Agreement, unless stated otherwise, expressions which indicate:

3.2.2.1 a gender includes the other gender and neuter;

3.2.2.2 the singular includes the plural and vice versa;

3.2.2.3 any reference to any law, rules, regulations, guidelines, schedules, standards, licences or codes, shall include any amendments, modifications or extensions and shall mean any replacements or re-enactments thereof in force at the applicable time;

3.2.2.4 any reference to 'writing' or 'written' shall include all methods of reproducing words in a legible and non-transitory form;

3.2.2.5 any reference to 'persons' shall include natural or juristic persons, firms, joint ventures, trusts, unincorporated associations and organisations, partnerships and any other entities, irrespective of whether such entity has a separate legal personality;

3.2.2.6 any reference to either 'Party' or 'any person' shall include its legal successors and permitted assignees;

3.2.2.7 days shall refer to calendar days unless Business Days are specified.

3.2.2.8 any reference in this Agreement to a 'Clause' or 'sub-clause' is a reference to a Clause or sub-clause contained in this Agreement;

3.2.2.9 any reference to an 'Annexure' or 'Annex' is a reference to an annexure or annex to this Agreement; and

3.2.2.10 where figures are referred to in numerals and in words and there is any conflict between them the words shall prevail.

3.2.3 The rule that a contract should be interpreted against the party responsible for the drafting or preparation thereof or who would benefit from the insertion of a clause, does not apply to this Agreement.

Initial:_____

4. GENERAL AGREEMENT

4.1 ESKOM agrees to supply to the CUSTOMER and the CUSTOMER agrees to take from ESKOM all the electricity required by the CUSTOMER for purposes of reselling electricity on the terms and conditions set out in this Agreement; subject to the provisions of the Codes, the Electricity Regulation Act, rules issued by NERSA in terms thereof, and regulations, the applicable Schedule of Standard Prices, the Guidelines on Electricity Resale and ESKOM's licences, issued by NERSA and any other applicable Law.

4.2 The CUSTOMER's registration of its bulk Connection with ESKOM is set out in Annexure 'L' (Reseller Registration Form).

4.3 The CUSTOMER shall operate and maintain its Distribution System in accordance with its obligations as a reseller, directly connected to ESKOM's Distribution System or Transmission System, under the Codes.

4.4 The Parties shall perform its obligations as set out in this Agreement in a manner that complies with all applicable Law, its Approvals and the Codes.

4.5 Notwithstanding sub-clause 4.1 above, nothing in this Agreement shall preclude the CUSTOMER from obtaining electricity from an alternative source provided that the CUSTOMER obtains the necessary Approvals and complies with the applicable Law and the Codes.

4.6 **Should the CUSTOMER have multiple electricity supply agreements with ESKOM, ESKOM shall have a right to transfer a debt arising from any of the CUSTOMER's terminated electricity supply agreement(s) to any of the CUSTOMER's existing electricity supply agreement(s).**

4.7 **Notwithstanding the provisions of sub-clause 4.6 above, ESKOM shall not provide a supply of electricity to the CUSTOMER at any new Point of Delivery or increase the Notified Maximum Demand at the CUSTOMER's existing Point of Delivery while the CUSTOMER is indebted to ESKOM in terms of any existing electricity supply agreement.**

5. RESALE OF ELECTRICITY BY THE CUSTOMER

5.1 The CUSTOMER shall only resell electricity supplied by ESKOM on the Property up to the Notified Maximum Demand as specified in this Agreement.

5.2 The CUSTOMER shall operate and maintain its Distribution System in accordance with its obligations as a reseller as set out in Annexure 'K' (Guideline on Electricity Resale issued by NERSA) and accordingly shall also comply with the following conditions:

5.2.1 the CUSTOMER shall comply with the safety standards applicable to ESKOM's Distribution System;

5.2.2 the CUSTOMER shall allow ESKOM to inspect and approve the CUSTOMER's Distribution System, which is Connected to ESKOM's Distribution System;

5.2.3 the CUSTOMER shall give ESKOM unfettered access to its Distribution System and information relating thereto as may be required by ESKOM;

5.2.4 where the CUSTOMER's Distribution System is a medium or high voltage system, the CUSTOMER shall be responsible for the safe design, installation and operation of its Distribution System;

5.2.5 the CUSTOMER shall be responsible for the safe operation of its Distribution System and absolves ESKOM from the responsibility of ensuring the safety of its Distribution System;

5.2.6 the design and installation of the CUSTOMER's Distribution System shall comply with ESKOM's connection requirements as well as all applicable laws, regulations and standards; and

5.2.7 the CUSTOMER must, when terminating the supply of electricity to its customers, comply with the provisions applicable to licensees as set out in section 22(5) of the Electricity Regulation Act.

6. INFORMATION TO BE PROVIDED BY THE CUSTOMER

6.1 The CUSTOMER shall provide ESKOM with:

6.1.1 information on the customers categories supplied by the CUSTOMER substantially in the form set out in Annexure 'M' (Form of Customer Categories);

6.1.2 a sample of an invoice the CUSTOMER plans to issue to its customers clearly indicating the energy consumed, energy amount, basic charge, if any, and the specified period of the invoice; and

6.1.3 such information as ESKOM may require in order to comply with Annexure 'K' (Guideline on Electricity Resale issued by NERSA).

6.2 The CUSTOMER shall provide to ESKOM such updated information and/or documentation as ESKOM may reasonably require on written notice to the CUSTOMER within 30 (thirty) Business Days of such request, or such shorter period designated by ESKOM (acting reasonably) in order to comply with the Guideline on Electricity Resale.

7. SCHEDULED DATE FOR COMMENCEMENT OF SUPPLY

7.1 The supply of electricity to the CUSTOMER for resale shall, subject to ESKOM's generation capacity and the conditions prevailing in its Transmission and/or Distribution Systems, be made available by ESKOM in terms of this Agreement after the Completion Date. The Completion Date shall be determined with reference to the Quote.
ESKOM shall not make supply available unless the CUSTOMER has complied with the provisions of sub-clause(s) 11.1, and / or 12.4 and 18.1 of this Agreement.

Initial:_____

8. TERM OF THIS AGREEMENT

8.1 This Agreement shall come into force on the date of signing and shall remain in force, subject to clauses 26 and 30 or 3 (three) month's written notice of termination by either Party or following the occurrence of an Act of Insolvency in respect of the CUSTOMER, provided that:

8.1.1 **should this Agreement be terminated prior to the expiry of any period for which any Monthly Connection Charges are due and prior to the expiry of the Minimum Liability Period, then the CUSTOMER shall pay the balance of the outstanding Monthly Connection Charge for the remaining Minimum Liability Period;**

8.1.2 **should this Agreement be terminated prior to the expiry of any period for which any Monthly Connection Charges are due and after the expiry of the Minimum Liability**

Period, then the CUSTOMER shall pay the Monthly Connection Charge for the period of 3 (three) months' notice of termination; and

8.1.3 **should this Agreement be terminated prior to the expiry of the Minimum Liability Period and if the Early Termination Guarantee Amount is Rnil, the CUSTOMER shall pay the network capacity charge of the Tariff for the remaining Minimum Liability Period**

within 30 (thirty) days of being advised in writing by ESKOM of the amount(s) due in respect thereof.

8.2 **Any termination of this Agreement shall be without prejudice to the accrued rights and obligations of the Parties up to the date of such termination.**

8.3 **Any termination of this Agreement shall not affect any Clause of this Agreement which is expressly stated to survive such termination (or any other Clause(s) necessary for the operation or interpretation of such Clause), which Clause(s) shall survive such termination and continue in full force and effect thereafter.**

SECTION B: FINANCIAL

Initial:_____

9. CHARGES FOR ELECTRICITY

9.1 The charges to be paid by the CUSTOMER for the electricity supplied or made available to the CUSTOMER's Point(s) of Delivery shall comprise the sum of the Tariff charges and the Connection Charges.

9.2 TARIFF CHARGES

9.2.1 The Tariff is the standard tariff as published by ESKOM and prescribed in the applicable Schedule of Standard Prices for Non-Local Authority Supplies, subject however to (a) ESKOM's right to adjust the prices it charges for electricity supplied in accordance with the provisions of the Electricity Regulation Act and with the approval of NERSA, and (b) the CUSTOMER's obligation to pay any taxes and / or levies which may be imposed in terms of any existing and / or future Law or as approved by NERSA.

9.2.2 Particulars of the Tariff currently in force are set out in Annexure 'B' (Miniflex *Schedule of Standard Prices for Non-Local Authority Supplies*). These prices shall be valid until ESKOM's next price increase or tariff restructuring, becomes operative.

9.2.3 The CUSTOMER may elect to be charged any applicable standard tariff as prescribed in the Schedule of Standard Prices, subject however to –

9.2.3.1 a new electricity supply agreement being concluded first;

9.2.3.2 such variation in tariff being restricted to 1 (one) change per Point of Delivery in a period of 12 (twelve) consecutive Months; and

9.2.3.3 the CUSTOMER meeting the qualification criteria for such elected tariff.

Initial:_____

9.3 **CONNECTION CHARGES**

9.3.1 The Connection Charges as set out and paid in accordance with the terms of the Quote are recorded in Annexure 'D' (Financial Details).

9.3.2 **The Connection Charges paid by the CUSTOMER or any portion thereof will not be refundable to the CUSTOMER in the event of this Agreement being terminated in accordance with Clause 8.**

10. PAYMENT OF ELECTRICITY ACCOUNTS

10.1 Electricity accounts for all charges payable under this Agreement shall be sent to the CUSTOMER as soon as possible after the end of each Month, and each electricity account shall be due and payable from the 1st (first) day following the Bill Date until and up to the Due Date the CUSTOMER has provided a 3 (three) Month security.

10.2 Should the CUSTOMER authorise payment of its electricity accounts by debit order as set out in Annexure 'M' *(Authorisation for Debit Order or Automatic Payment of Electricity Account)*, ESKOM shall debit the CUSTOMER's bank account with the total amount payable on the Due Date.

10.3 Should payment not be reflected as having been received into ESKOM's bank account by the Due Date, ESKOM may Disconnect the supply to the CUSTOMER after having given the CUSTOMER 14 (fourteen) days' notice and the amount outstanding shall bear interest, compounded Monthly from the first day following the Bill Date to date of payment, at a rate per annum equal to the prevailing prime overdraft rate charged by First National Bank of Southern Africa Limited plus 5% (five percent).

10.4 Should the CUSTOMER dispute an electricity account, it shall within 10 (ten) days from the Bill Date give ESKOM written notice of dispute; provided that the CUSTOMER shall not be entitled to reduce or set off its debt or defer payment thereof beyond the Due Date; but the electricity account shall be settled in full pending resolution of such dispute. Only if a manifest error is evident on the electricity account, shall the CUSTOMER be entitled to pay in lieu of the amount due an amount equal to the average of the electricity accounts rendered for the preceding 3 (three) consecutive Months. Should the preceding 3 (three) consecutive Months however be in a different Demand Season, the CUSTOMER shall be entitled to pay in lieu of the amount in dispute the average of the electricity accounts rendered for the preceding 3 (three) consecutive Months in the applicable Demand Season, taking into account any approved tariff increases.

10.5 Should the CUSTOMER be incorrectly charged for any amount(s) payable in terms of this Agreement as a result of an error, ESKOM shall inform the CUSTOMER of the correct amount(s) payable and the reasons therefor.

10.5.1 In the case of the CUSTOMER being overcharged and having paid such overcharged amount, ESKOM shall, as soon as practicable, credit the CUSTOMER's electricity account with the total amount overcharged with interest, compounded Monthly from the date the CUSTOMER has paid the overcharged amount up to the date ESKOM has credited the CUSTOMER's electricity account, at a rate per annum equal to the prevailing prime overdraft rate charged by First National Bank of Southern Africa Limited minus 4% (four percent).

10.5.2 In the case of the CUSTOMER being undercharged, ESKOM shall debit the CUSTOMER's electricity account with the total amount undercharged and such amount shall be payable by the CUSTOMER. If the CUSTOMER cannot pay the total amount when due, it must enter into a separate payment deferral arrangement, and the repayment term thereof may not extend beyond 6 (six) Months. The amount outstanding shall bear interest, if not paid in the next electricity account, compounded Monthly, from the date the CUSTOMER's electricity account has been debited in terms of this clause to date of payment, at a rate per annum equal to the prevailing prime overdraft rate charged by First National Bank of Southern Africa Limited plus 5% (five percent) subject to limitations imposed by prevailing legislation.

10.5.3 In the case of the CUSTOMER being undercharged, as a result of tampering by the CUSTOMER, the total amount undercharged calculated from the date of tampering shall be payable by the CUSTOMER and shall bear interest, compounded Monthly, from the date the CUSTOMER's electricity account was debited in terms of this Agreement to date of payment, at a rate per annum equal to the prevailing prime overdraft rate charged by First National Bank of Southern Africa Limited plus 5% (five percent) subject to limitations imposed by prevailing legislation.

10.6 A certificate under the signature of an authorised employee of ESKOM setting out the amount due and payable by the CUSTOMER at any time in terms of this Agreement, shall be prima facie proof, subject to manifest error, of the CUSTOMER's debt for the purpose of insolvency and legal proceedings and the obtaining of provisional sentence.

11. SECURITY – ELECTRICITY ACCOUNTS

11.1 The CUSTOMER **has** furnish ESKOM with Security for an amount equal to the Security Amount as set out in Part B of Annexure 'D' (*Financial Details),* for the due payment of the electricity accounts to be rendered in terms of this Agreement.

11.2 ESKOM may from time to time re-determine Security Amount to be sufficient to cover the highest estimated charges that ESKOM determines will be payable by the CUSTOMER in accordance with Clause 9 of this Agreement, in any period of the highest **3 (three)** consecutive Months during the following Year taking into consideration historical consumption of electricity and the prevailing Tariff and ESKOM shall notify the CUSTOMER in writing of such re-determined Security Amount. The CUSTOMER shall be obliged to furnish ESKOM with a revised Security for the re-determined Security Amount, within 30 (thirty) days of being called upon to do so.

11.3 The CUSTOMER shall maintain the Security in full force and effect until 60 (sixty) days after the termination of this Agreement. If and whenever the Security provided by the CUSTOMER in accordance with this clause 11 ceases (for any reason whatsoever) to be in full force and effect or otherwise to comply with this clause 11, the CUSTOMER shall promptly upon the occurrence of such event and within 30 (thirty) days of being called upon to do so, provide to ESKOM a revised Security which meets the requirements of this clause 11.

11.4 ESKOM shall have the right at any time to allocate the whole or any portion of the Security, towards the payment of any amounts payable by the CUSTOMER for electricity supplied and which are in arrears, provided that should the whole or any portion of Security be allocated by ESKOM at any time, the CUSTOMER shall be obliged forthwith to provide ESKOM with a revised Security which meets the requirements of this clause 11, within 30 (thirty) days.

11.5 If the financial institution [Holding Company] that issued the Security ceases to hold an Approved Credit Rating for South African Financial Institutions or Non-South African Financial Institutions [Approved Credit Rating for South African or Non-South African Holding Companies], the CUSTOMER must furnish ESKOM with a new Security within 30 (thirty) days from the date that the CUSTOMER became aware that the financial institution [Holding Company] that issued the Security has ceased to hold an Approved Credit Rating for South African Financial Institutions or Non-South African Financial Institutions [Approved Credit Rating for South African or Non-South African Holding Companies].

11.6 In the event of a failure by the CUSTOMER to furnish ESKOM with a new Security as required in terms of sub-clause 11.5 above, ESKOM shall be entitled to draw the full remaining amount payable under Security and hold the proceeds as a Cash Deposit.

11.7 The Cash Deposit shall bear interest, capitalised annually, at the prevailing rate as determined by ESKOM from time to time.

11.8 Should the CUSTOMER fail to comply with the provisions of these sub-clauses 11.2, 11.3, 11.4 and 11.5 above, ESKOM shall be entitled to Disconnect the supply upon expiry of the 30 (thirty) day period, subject to ESKOM providing 48 (forty-eight) hours prior written notice of such Disconnection to the CUSTOMER.

11.9 The Security shall be returned or refunded to the CUSTOMER upon termination of this Agreement after ESKOM has drawn from it any amounts due to it in terms of this Agreement.

12. EARLY TERMINATION GUARANTEE

Not Applicable

12.1 The CUSTOMER acknowledges that ESKOM will, in connecting the CUSTOMER's Electrical Installation to the Distribution System, incur certain expenditures and costs which are not directly recovered through the Connection Charge.

12.2 If the CUSTOMER commits an Insolvency Event and/or this Agreement is terminated before the expiry of the 13th (thirteenth) year following the Completion Date, ESKOM shall have the right to call on the Early Termination Guarantee forthwith and without notice to the CUSTOMER.

12.3 In the event of either an increase or decrease in the Connection Charge, the Early Termination Guarantee Amount shall be amended to reflect the change in the Connection Charge

12.4 The CUSTOMER has delivered to ESKOM the Early Termination Guarantee for an amount equal to the Early Termination Guarantee Amount as set out in Annexure 'D' (Financial Details).

12.5 The CUSTOMER shall maintain the Early Termination Guarantee in full force and effect until 60 (sixty) days after the expiry of the 13th (thirteenth) year following the Completion Date. If and whenever the Early Termination Guarantee provided by the CUSTOMER in accordance with this Clause 12 ceases (for any reason whatsoever) to be in full force and effect or otherwise to comply with this Clause 12, the CUSTOMER shall promptly upon the occurrence of such event and within 30 (thirty) days of being called upon to do so, provide to ESKOM a new Early Termination Guarantee which meets the requirements of this Clause 12.

12.6 Should the CUSTOMER fail to comply with the provisions of sub-clauses 12.5 above, ESKOM shall be entitled to Disconnect the supply upon expiry of the 30 (thirty) day period, subject to ESKOM providing 48 (forty-eight) hours prior written notice of such Disconnection to the CUSTOMER

12.7 The Early Termination Guarantee Amount will decrease with 1/10th (one tenth) per year, starting 4 (four) years after the Completion Date and will be completely extinguished after 13 (thirteen) years.

12.8 ESKOM shall return the Early Termination Guarantee to the CUSTOMER within 10 (ten) Business Days of the CUSTOMER furnishing ESKOM with an acceptable replacement Early Termination Guarantee or, in the case of the final Early Termination Guarantee, within 90 (ninety) days after the expiry of the 13th (thirteenth) year following the Completion Date.

12.9 If this Agreement is terminated before the 13 (thirteen)-year period has lapsed ESKOM shall have the right to draw on the full remaining amount payable under such Early Termination Guarantee forthwith and without notice to the CUSTOMER. The amount received by ESKOM under the Early Termination Guarantee shall be refunded, without interest, to the CUSTOMER should the Connection be taken over by another customer within 6 (six) Months.

12.10 If the financial institution [Holding Company] that issued the Early Termination Guarantee ceases to hold an Approved Credit Rating for South African Financial Institutions or Non-South African Financial Institutions [Approved Credit Rating for South African or Non-South African Holding Companies], the CUSTOMER must furnish ESKOM with a new Early Termination Guarantee within 5 (five) Business Days from the date that the CUSTOMER became aware that the financial institution [Holding Company] that issued the Early Termination Guarantee has ceased to hold an Approved Credit Rating for South African Financial Institutions or Non-South African Financial Institutions [Approved Credit Rating for South African or Non-South African Holding Companies].

12.11 In the event of a failure by the CUSTOMER to furnish ESKOM with the new Early Termination Guarantee as required in terms of sub-clause 12.7 above, ESKOM shall be entitled to draw the full amount payable under such Early Termination Guarantee and hold the proceeds as a cash deposit which will be held on the same terms as the Early Termination Guarantee

13. IRRECOVERABLE EXPENDITURE AND COSTS: IRRECOVERABLE COST GUARANTEE

Not Applicable

13.1 The CUSTOMER acknowledges that ESKOM has, in making the supply of electricity available to the CUSTOMER's Electrical Installation, been put to certain expenditure and costs which are recovered through the Monthly Standard Connection Charge.

13.2 As security for the due payment by the CUSTOMER of the Monthly Standard Connection Charge**,** the CUSTOMER has furnished ESKOM with an Irrecoverable Cost Guarantee.

13.3 If this Agreement is terminated by ESKOM for breach of contract by the CUSTOMER or is terminated by the CUSTOMER for any reason and/or the CUSTOMER commits an Insolvency Event, ESKOM shall have the right to draw on the Irrecoverable Cost Guarantee forthwith and without notice to the CUSTOMER.

The CUSTOMER shall maintain the Irrecoverable Cost Guarantee in full force and effect until 60 (sixty) days after its expiry date.

13.4 If and whenever the Irrecoverable Cost Guarantee provided by the CUSTOMER in accordance with this clause 13 ceases (for any reason whatsoever) to be in full force and effect or otherwise to comply with this clause 13, the CUSTOMER shall promptly upon the occurrence of such event and within 30 (thirty) days of being called upon to do so, provide to ESKOM a new or re-issued Irrecoverable Cost Guarantee which meets the requirements of this clause 13.

13.5 Should the CUSTOMER fail to comply with the provisions of sub-clauses 0 and 13.4 above, ESKOM shall be entitled to Disconnect the supply upon expiry of the 30 (thirty) day period, subject to ESKOM providing 48 (forty-eight) hours prior written notice of such Disconnection to the CUSTOMER.

13.6 Subject to the CUSTOMER meeting its obligations under this Agreement, the Irrecoverable Cost Guarantee Amount shall be reduced by the amount on the date as set out in Annexure 'D' *(Financial Details)* and thereafter by a like amount on each succeeding anniversary of this date until reduced in full.

13.7 In the event of a failure by the CUSTOMER to furnish ESKOM with the new Irrecoverable Costs Guarantee as required in terms of sub-clause 13.4 above, ESKOM shall be entitled to draw the full remaining amount payable under such Irrecoverable Costs Guarantee and hold the proceeds as cash deposit which will be held on the same terms as the Irrecoverable Costs Guarantee.

SECTION C: TECHNICAL

14. CUSTOMER'S NOTIFIED MAXIMUM DEMAND AND NOTIFICATION OF CHANGES OF DEMANDS

Initial: _____

14.1 The Notified Maximum Demand of the CUSTOMER at the date of this Agreement is set out in Annexure 'C' (Technical Details).

14.2 Subject to Clause 17, and subject generally to ESKOM's generating capacity and conditions on ESKOM's Transmission and/or Distribution Systems, ESKOM undertakes to make available and supply to the CUSTOMER a supply of electricity up to the maximum capacity represented by the Notified Maximum Demand of the CUSTOMER, as changed from time to time by the additional or reduced demands of the CUSTOMER, notified to and accepted by ESKOM in accordance with the provisions of this Clause 14 and the NMD Rules.

14.3 The NMD Rules at the date of this Agreement are set out in Annexure 'E'.

14.4 Changes to the Notified Maximum Demand, shall be subject to the NMD Rules and to such terms and conditions as are agreed between the Parties and confirmed in writing in accordance with sub-clause 25.2; failing such agreement, no increase and/or decrease in the Notified Maximum Demand shall be permitted.

14.5 **Any demand registered above the Notified Maximum Demand of the CUSTOMER referred to in sub-clause 14.2, shall constitute a material breach of this Agreement and charges shall be payable by the CUSTOMER in accordance with the NMD Rules.**

15. POINT OF DELIVERY / SUPPLY

15.1 **T**he electricity supplied by ESKOM shall be delivered to the CUSTOMER at the Point of Delivery and Point of Supply as set out in Annexure 'C' (Technical Details).

16. FORM AND QUALITY OF ELECTRICITY TO BE SUPPLIED

Initial:_____

16.1 **Details of the Parties' obligations in respect of the power quality aspects of the supply, are specified in Annexure 'H' (Quality of Supply Specification). ESKOM shall have the right to temporarily Interrupt or reduce the supply of electricity to the CUSTOMER or require the**

CUSTOMER to reduce its demand for the supply of electricity as provided for in Clause 17 below and Annexure 'H' (Quality of Supply Specification).

17. SUPPLY OF ELECTRICITY UNDER EMERGENCY CONDITIONS, ENERGY AND/OR CAPACITY CONSTRAINTS

Initial:

17.1 **With due regard to ESKOM's licence conditions, the Parties acknowledge that ESKOM shall have the right to temporarily Interrupt or reduce the supply of electricity to the CUSTOMER or require the CUSTOMER to reduce its demand for the supply of electricity when ESKOM is experiencing an emergency and/or a shortage of generation and/or transmission and/or distribution capacity.**

17.2 The requirements of manual load reduction under system emergency conditions declared by the National System Operator are set out in NRS048-9:2010. All customers need to reduce load under system emergency conditions. The CUSTOMER will either be included in the load shedding schedule or if eligible for curtailment the CUSTOMER may elect an option as set out in NRS048-9:2010 and must notify ESKOM accordingly.

18. ENERGY EFFICIENCY AND LOAD FORECAST

18.1 The CUSTOMER is requested to promote the use of energy efficient technologies and equipment among its customers and to follow a similar approach as ESKOM with respect to obtaining commitment from its customers to comply with the energy efficiency targets and specifications.

18.2 In order to assist ESKOM in forecasting the supply and demand more accurately, the CUSTOMER must annually, by 30 April of each Year, submit to ESKOM a 7 (seven) year electricity consumption forecast Annexure 'G' (Load Forecast) for the CUSTOMER's Point of Delivery, specifying its forecasted electricity consumption for each Month during the 7 (seven) year period.

19. POWER FACTOR

19.1 The power factor at the CUSTOMER's Points of Supply shall under all load conditions not be leading, unless otherwise agreed to by ESKOM.

19.2 The power factor of the load at the CUSTOMER's Points of Supply shall not be less than 0,9 (naught comma nine) lagging. Should the power factor be less than 0,9 (naught comma nine) the CUSTOMER shall be required to install at its own expense suitable apparatus to ensure that this requirement is complied with.

19.3 For purposes hereof 'power factor' is defined as the kWh divided by the kVAh (where the kVAh equals the square root of the amount of the kWh squared and the kvarh squared) measured over the same demand-integrating period.

SITE/ACCOMMODATION FOR ESKOM CONNECTION EQUIPMENT

Applicable

19.4 The CUSTOMER provided and shall continue for the duration of this Agreement to provide and maintain in good order at its expense, a site to be mutually agreed upon and such accommodation, including structures, as ESKOM may reasonably require for accommodating the Eskom Connection Equipment.

19.5 The said site and accommodation, as agreed upon in terms of sub-clause 19.4 above, shall be designed, situated and provided with suitable access thereto to the reasonable satisfaction of ESKOM for the purpose of erecting and/or connecting up, inspecting, operating and maintaining the Eskom Connection Equipment therein.

19.6 ESKOM shall have the right, after having given the CUSTOMER prior written notice, to use the said accommodation in which the Eskom Connection Equipment is installed for the purpose of supplying other consumers and, if necessary, to call upon the CUSTOMER to extend the same for such purpose; but the cost of any extension of the said accommodation which is required solely for the purpose of supplying other consumers shall be for the account of ESKOM.

Initial: _____

20. ESKOM CONNECTION EQUIPMENT

20.1 The Eskom Connection Equipment has been provided, installed, and shall for the duration of this Agreement be operated and maintained by ESKOM.

20.2 The CUSTOMER shall not, except in cases of emergency or at the request of or in terms of an authorisation from ESKOM, operate or interfere with the Eskom Connection Equipment.

20.3 **Notwithstanding any payments made by the CUSTOMER to ESKOM in respect of the capital expenditure and costs incurred by ESKOM in making a supply of electricity available to the CUSTOMER's Electrical Installation, the Eskom Connection Equipment erected or installed by ESKOM in pursuance of this Agreement shall be and remain the property of ESKOM. ESKOM shall have the right to use the Eskom Connection Equipment for purposes of supplying other customers and, also upon termination of this Agreement, to enter upon the Property and remove therefrom the Eskom Connection Equipment.**

21. CUSTOMER CONNECTION EQUIPMENT

21.1 The CUSTOMER **has, at its own expense, provided, erected and connected up and shall continue for the duration of this Agreement to operate and maintain the Customer Connection Equipment** and all equipment necessary for controlling such circuits to the reasonable satisfaction of ESKOM for the protection of the equipment of ESKOM against overload, faults and lightning on the CUSTOMER's Electrical Installation. The settings of the CUSTOMER's protection relays **shall be** agreed with ESKOM to ensure appropriate protection grading.

21.2 The Customer Connection Equipment shall be of good design and construction, properly installed and maintained by the CUSTOMER in accordance with the specifications stipulated by the supplier of such equipment.

21.3 Should the CUSTOMER decide to install and connect its own generating plant ("the Facility") directly to the Transmission System or Distribution System or parallel the Facility with the Transmission System or Distribution System by connecting the Facility to the CUSTOMER's Electrical Installation or install its own standby generating plant for use during Interruptions the CUSTOMER shall submit an application to ESKOM. Before the Facility is connected to the Transmission System or Distribution System, the CUSTOMER shall enter into a connection and use-of-system agreement with ESKOM. Such agreement shall regulate the terms upon which the Facility may be connected to the Transmission System or Distribution System and shall be subject to the provisions of the Code(s), the Electricity Regulation Act, any licence provisions made by NERSA applicable to the Parties, the Schedule of Standard Prices, the Standard for the Interconnection of Embedded Generation, NRS 097 and any other applicable Law.

21.4 The equipment for connection standby generating plant to the CUSTOMER's Electrical Installation shall be subject to ESKOM's approval. The use and operation of such standby generating plant by the CUSTOMER shall be subject to such terms and conditions as ESKOM may lay down to ensure the safety and protection of its personnel and equipment.

21.5 The CUSTOMER shall comply with the neutral earthing requirements as set out in Annexure 'I' ("Standard for Neutral Earthing of Transmission and Distribution Networks").

22. MEASUREMENT OF SUPPLY

22.1 Eskom shall operate and maintain the Metering Installation to be used for measuring the electricity supplied by ESKOM to the CUSTOMER. The Metering Installation shall comply with the requirements of the accuracy class as specified in SANS 057.

22.2 The quantities of electricity supplied shall be measured and recorded by ESKOM and electricity accounts shall be rendered Monthly on the basis of such measurements. The records of such measurements shall at all reasonable times be open for inspection by the CUSTOMER or its authorized representative.

22.3 During any period when metering data is not available or is unreliable due to the meter or any associated equipment being defective, a reasonable estimate shall be made by ESKOM in consultation with the CUSTOMER of the electricity consumption in accordance with the Code(s) and ESKOM's Standard for the Estimation of Large Power User (LPU) Metering Data on DAS for each of the Months in question and the electricity account(s) for such period shall be based on such estimate as the CUSTOMER will have its own meters installed, ESKOM shall take account of the evidence provided by such meters.

22.4 The Parties agree that ESKOM shall for invoicing purposes under this Agreement collect all such meter data from both the main meter and if applicable, any check or back-up meter included in the Metering Installation.

22.5 Notwithstanding anything to the contrary herein, the Parties agree that ESKOM shall be entitled to furnish any such meter data collected by ESKOM from time to time to any person as may be required in accordance with the Code(s) or applicable Law.

22.6 In the event that either Party has grounds for believing that the Metering Installation is operating outside the relevant accuracy class in NRS 057, it shall forthwith notify the other Party of those grounds and the Metering Installation shall be tested in accordance with clause 23 of this Agreement and NRS 057.

23. TESTING OF METERS / METERING INSTALLATIONS

23.1 ESKOM may test the Metering Installation at any time. If the CUSTOMER requests ESKOM in writing to test the Metering Installation and after payment of a meter test fee, ESKOM shall test the Metering Installation.

23.2 If the test shows an inaccuracy of any component of the Metering Installation to be in excess of the percentage accuracy specified in NRS 057, the same shall, in the absence of evidence to the contrary, be deemed to have existed since the date the error or fault can be reasonably shown to have occurred, and (i) where applicable the meter test fee shall be refunded to the CUSTOMER, (ii) the Metering Installation or any part thereof shall be repaired or replaced as necessary, (iii) the electricity consumption of the CUSTOMER shall be estimated in accordance with the Code(s) and Eskom's Standard for the Estimation of Large Power User (LPU) Metering Data on DAS and (iv) the electricity account shall be adjusted in accordance with sub-clause 10.5 of this Agreement, in the first electricity account rendered after the inaccuracy has been ascertained.

23.3 ESKOM shall notify the CUSTOMER of the estimated electricity consumption, which notification will be binding on the CUSTOMER save in the case of a manifest error.

23.4 If the test shows an inaccuracy to be less than the percentage accuracy specified in NRS 057, the electricity account(s) shall stand as rendered and where applicable the meter test fees paid by the CUSTOMER shall be forfeited and any additional, actual costs that ESKOM incurred in testing the Metering Installation shall be charged to the CUSTOMER's electricity account

24. REFURBISHMENT AND OR REPLACEMENT OF ESKOM EQUIPMENT

24.1 ESKOM shall refurbish (which, for this purpose, does not include maintenance or repairs conducted in the ordinary course of ESKOM's business) or replace the Eskom Connection Equipment when it becomes necessary for technical and or safety reasons in accordance with the network investment criteria set out in the Code(s). Technical reasons may include compliance with the Code(s) and/or compliance with the provisions of Annexure 'H' (*Quality of Supply Specification)*.

24.2 The Parties acknowledge that due to advancements and technical improvements in electrical equipment, unavailability of certain equipment and other technological changes, exact replication of the existing supply arrangement(s) and equipment, on the existing site(s), as installed at the time of first connecting the supply to the CUSTOMER, may not be possible or may not be in accordance with ESKOM's standards to meet the standard supply criteria, applicable at the time.

24.3 The Parties further acknowledge that different types of equipment have different operational and/or useful life cycles and that refurbishment or replacement may take place at different intervals in accordance with and subject to sub-clauses 24.1, 24.2, 24.4 and 24.5.

24.4 Should it not be possible to meet the CUSTOMER's requirements, at the time of refurbishment or replacement, with the equipment allowed for in terms of the Code(s) for a Standard Connection, any additional equipment shall be deemed to be Premium Equipment. The CUSTOMER shall pay a Premium Connection Charge in respect of the costs associated with any equipment identified as Premium Equipment at the time of refurbishment or replacement.

24.5 If the equipment to be refurbished or replaced is identified as Premium Equipment in terms of the Code(s), or provides the CUSTOMER with a Premium Connection Condition, ESKOM shall notify the CUSTOMER in writing thereof giving details of the technical and financial implications to the CUSTOMER (including details of the replacement and/or refurbishment work that has to be carried out, how the quality and continuity of supply will be affected if the replacement and/or refurbishment is not effected, the estimated capital expenditure and costs involved and the estimated Premium Connection Charge to be paid by the CUSTOMER). If the CUSTOMER however disputes in writing the criteria used or the amount of the estimated Premium Connection Charge, for the replacement and/or refurbishment work associated with the Premium Equipment, such disputes shall be settled in accordance with Clause 31.

Initial: _____

SECTION D: LEGAL

25. ENTIRE AGREEMENT AND VARIATION OF TERMS AND CONDITIONS

25.1 This Agreement constitutes the sole and entire agreement between the Parties and supersedes all previous negotiations, arrangements or agreements in respect of the subject-matter of this Agreement, other than separate agreements or documents relating to rights-of-way and/or servitudes.

25.2 **Save as provided for in sub-clause 9.2 and Clause 11, no variation, modification, waiver, failure, delay, relaxation or indulgence of any provision of this Agreement, or consent to any departure therefrom, shall in any way be of any force or effect unless confirmed in writing and signed by both Parties and then such act or omission as stated above shall be effective only in a specific instance and for the purpose and to the extent for which it was made or given.**

26. DISCONNECTION AND TERMINATION

Initial: _____

26.1 BREACH BY THE CUSTOMER

26.1.1 **ESKOM may Disconnect the electricity supply immediately if:**

26.1.1.1 the CUSTOMER is causing or can reasonably be expected to cause ESKOM to be in immediate breach of any of its Approvals and such breach requires Disconnection of the CUSTOMER's Electrical Installation in terms of those Approvals;

26.1.1.2 the CUSTOMER is causing or can reasonably be expected to cause personal injury to ESKOM's agents, directors, employees, the CUSTOMER, its agents, directors or employees or any third party;

26.1.1.3 the CUSTOMER is causing or can reasonably be expected to cause immediate material damage, as a result of the malfunctioning of the CUSTOMER's Electrical Installation or the Customer Connection Equipment, to the assets of ESKOM on the Distribution System or the Transmission System, or to the assets of other customers connected to either system;

26.1.1.4 the CUSTOMER tampers with or permits tampering with the Metering Installation, the Eskom Connection Equipment or any other ESKOM equipment

26.1.1.5 the supply of electricity to the CUSTOMER is used other than for the CUSTOMER's Electrical Installation situated at the Property; or

26.1.1.6 the CUSTOMER supplies electricity to a third party other than those permitted under sub-clause 28.1 of this Agreement;

26.1.1.7 the CUSTOMER tampers with or permits tampering with the Metering Installation, the Eskom Connection Equipment or any other ESKOM equipment; or

26.1.1.8 the CUSTOMER allows the electricity supply to bypass the Metering Installation.

26.1.2 **Should the electricity be Disconnected as provided for in sub-clause 26.1.1 above, ESKOM shall notify the CUSTOMER in writing of the Disconnection, the reasons therefor and the reconnection requirements.**

26.1.3 **In addition to the Disconnection in terms of clauses 10, 11 and sub-clause 26.1.1 of this Agreement, ESKOM may Disconnect the supply of electricity after having given the CUSTOMER 14 (fourteen) days' written notice to rectify a breach, if the CUSTOMER breaches the Agreement other than as set out in clauses 10, 11 and sub-clause 26.1.1 of this Agreement or if the CUSTOMER breaches the terms of any repayment agreement, as amended or re-negotiated from time to time.**

26.1.4 **If ESKOM Disconnects the supply of electricity to the CUSTOMER as provided for in this Agreement, ESKOM may, in addition, on written notice, terminate this Agreement with the CUSTOMER, and remove its equipment from the Property. For the purposes of this clause, sections 12 and 13 of the Electronic Communication and Transaction Act 25 of 2002, do not apply save that the intended notice may be scanned after manual signature and then sent electronically.**

26.1.5 **Before the supply of electricity which has been Disconnected, and if this Agreement has not been terminated as intended in sub-clause 26.1.4 above, is reconnected, the CUSTOMER shall pay all arrears due to ESKOM, including loss of revenue, costs of repairing or replacing any damaged equipment or Metering Installation and any applicable charges associated with the Disconnection.**

26.2 BREACH BY ESKOM

26.2.1 Should ESKOM fail to comply with any of the provisions of this Agreement, the CUSTOMER shall be entitled to give ESKOM written notice of such default. In the event that ESKOM fails to remedy a breach within 30 (thirty) days of receipt of notice from the CUSTOMER, the CUSTOMER shall be entitled to terminate this Agreement and/or claim damages from ESKOM in accordance with clause 27.

26.3 TERMINATION OF THIS AGREEMENT

26.3.1 This Agreement shall, subject to sub-clause 26.4 of this Agreement terminate, at any time on 3 (three) month's prior written notice by either Party to the other Party or in the circumstances contemplated in sub-clause 26.1.5 above and clause 30 of this Agreement or upon written notice issued by ESKOM to the CUSTOMER following the occurrence of an Act of Insolvency in respect of the CUSTOMER.

Initial: _____

26.4 CONSEQUENCES OF TERMINATION

26.4.1 **Should this Agreement be terminated prior to the expiry of any period for which any Monthly Connection Charges are due and prior to the expiry of the Minimum Liability Period, then the CUSTOMER shall pay the balance of the outstanding Monthly Connection Charge for the remaining Minimum Liability Period;**

26.4.2 **Should this Agreement be terminated prior to the expiry of any period for which any Monthly Connection Charges are due and after the expiry of the Minimum Liability Period, then the CUSTOMER shall pay the Monthly Connection Charge for the period of 3 (three) months' notice of termination;**

26.4.3 **Should this Agreement be terminated prior to the expiry of the Minimum Liability Period and if the Early Termination Guarantee Amount is nil Rand, the CUSTOMER shall pay the network capacity charge of the Tariff for the remaining Minimum Liability Period; and**

26.4.4 **If the Security is not adequate to fully discharge the CUSTOMER's debts in respect of the Charges payable in terms of clause 10 of this Agreement, the CUSTOMER shall remain liable for such debt;**

26.4.5 **If the Early Termination Guarantee is not adequate to fully discharge the CUSTOMER's debts in respect of the connection costs upon termination, the CUSTOMER shall remain liable to pay the outstanding amount to ESKOM; and**

26.4.6 **If the Irrecoverable Costs Guarantee is not adequate to fully discharge the CUSTOMER's debts in respect of the connection costs upon termination, the CUSTOMER shall remain liable to pay the outstanding amount to ESKOM.**

within 30 (thirty) days of being advised in writing by ESKOM of the amount(s) due in respect thereof.

26.5 **Any termination of this Agreement shall be without prejudice to the accrued rights and obligations of the Parties up to the date of such termination.**

26.6 **Any termination of this Agreement shall not affect any Clause of this Agreement which is expressly stated to survive such termination (or any other Clause(s) necessary for the operation or interpretation of such Clause), which Clause(s) shall survive such termination and continue in full force and effect thereafter.**

Initial: _____

27. DAMAGES

27.1 **ESKOM shall not be liable to the CUSTOMER for any loss or damages incurred by the CUSTOMER as a result of any action or omission related to the design, construction, operation or maintenance of ESKOM's Transmission or Distribution System unless such loss or damage is due to any negligent act or omission of ESKOM.**

27.2 **In addition to the provisions of sub-clause 27.1, ESKOM shall not be liable for damages, expenses or costs caused to the CUSTOMER by an Interruption, Disconnection or Discontinuation, or any variation of voltage or frequency, unless such is due to the negligence of ESKOM but it is agreed between the Parties that an Interruption to ESKOM's customers generally due to any constraint on ESKOM's system, and in terms of Clause 17, is not due to ESKOM's negligence.**

27.3 **The CUSTOMER shall not be liable for any losses or expenses incurred by ESKOM by reason of damage to ESKOM's plant and equipment or otherwise by reason of failure of the CUSTOMER to comply with the provisions of Clause 21 and/or the CUSTOMER's obligations as set out in Annexure 'H' (Quality of Supply Specification), unless the said failure is due to the negligence of the CUSTOMER.**

27.4 **Neither Party is liable to the other for consequential damages, which includes, but is not limited to, loss of production and loss of profit.**

27.5 **The maximum liability of one Party to the other Party in respect of any single event shall not exceed 1/12 (one twelfth) of the total amount paid by the CUSTOMER for the affected Point of Delivery in terms of Clause 10 of this Agreement, during the previous 12 (twelve) months and the maximum aggregate liability of one Party to the other Party in respect of any events occurring in any preceding 12 (twelve) months shall not exceed 1/12 (one twelfth) of the total amount paid by the CUSTOMER for the affected Point of Delivery, in terms of Clause 10 of this Agreement, during the preceeding 12 (twelve) months.**

27.6 **The Parties' liability to each other in respect of any claim that arises pursuant to this Agreement, whether under delict or contract shall be as detailed in this Agreement, and no Party shall have any additional liability to the other Party in respect of such claim.**

27.7 **Notwithstanding any provision of this Agreement, the CUSTOMER shall fully indemnify ESKOM against any claim or action instituted by a third party due to the failure of the electricity supply to the CUSTOMER, whether emanating from contract, delict or any area of Law unless ESKOM has been proved negligent, subject to the provisions of clause 27.2 above.**

28. CESSION AND DELEGATION OF RIGHTS AND LIABILITIES

28.1 Neither Party hereto may cede and/or delegate any of its rights and/or obligations under this Agreement to any person without the written consent of the other, subject thereto that ESKOM may on written notice to the CUSTOMER cede and/or delegate its rights and/or obligations under this Agreement to any of its subsidiaries or any of its present divisions or operations which may be converted into separate legal entities as a result of the restructuring of the electricity supply and distribution industry.

29. RIGHT(S)-OF-WAY

Initial: _____

29.1 THE RIGHTS

29.1.1 The CUSTOMER grants, generally, an irrevocable right (the "Rights"), in perpetuity and free of charge, to ESKOM and over the Property, for the distribution and transmission of electricity and related purposes, substantially along a route to be agreed between the Parties, and comprising an area on either side of the centre line of the Goods, once they are built (the "Wayleave Area"), per table 1, and the Rights include those set out herein.

Table 1:

Voltage	**Restriction on either side of the centre line of the Goods**
1. All voltages below 22kV	9 metres
2. 22kV	9 metres
3. 33kV	11 metres
4. 44kV	11metres
5. 66KV	11 metres
6. 88kV	11 metres
7. 132kV and Delta construction 275kV	20 metres)

29.1.2 **The Rights, specifically, include the rights to:**

29.1.2.1 convey electricity and telecommunication across the Property;

29.1.2.2 erect structures, conductors, cables, appliances and, without limitation, everything else as may be necessary or convenient in exercising the Rights (the "Goods") and the CUSTOMER agrees that structure-supporting mechanisms may reasonably extend beyond the Wayleave Area where it is necessary to safely secure the Goods;

29.1.2.3 enter and be upon the Property, subject to the CUSTOMER's health and safety policies and procedures, at any time in order to construct, erect, operate, use, maintain, repair, re-erect, alter or inspect the Goods or in order to gain access to any adjacent property in the exercise of rights similar to the Rights;

29.1.2.4 have these Goods remain on the Property for so long as either ESKOM or the CUSTOMER requires them to;

29.1.2.5 extend the Goods to other customers, suppliers or contracting parties of ESKOM, over the Property;

29.1.2.6 use existing roads and gates giving access to and running across the Property and to erect in any fence such gates as may be necessary or convenient to gain access to or exit from the Property and the Goods or in order to gain access to any adjacent property in the exercise of rights similar to the Rights;

29.1.2.7 remove any material or structures, and cut or trim any tree, bush or grass within the Wayleave Area or to the extent necessary where the Goods extends beyond the Wayleave Area, in order to comply with the restrictions referred to in sub-clause 29.2 hereof; and

29.1.2.8 every ancillary right necessary or convenient for the proper exercise of the Rights granted to ESKOM.

29.1.3 **The Rights shall apply to all electricity infrastructure on the Property and the area which such infrastructure covers shall be deemed to be included in the Wayleave Area and/or Restricted Area. It is agreed that the CUSTOMER herewith grants permission for all electricity infrastructure on the Property to remain on the Property.**

29.1.4 **Any expenses to be incurred, which are necessitated by a change to or removal of the Goods in the Wayleave Area, required by the CUSTOMER or the registered owner of the Property, are for the CUSTOMER's account and must be paid for by the CUSTOMER in advance. Eskom shall effect such changes or removals after receipt of such payment, if such changes or removal are technically possible.**

29.1.5 **The Contractor may exercise any of the Rights.**

29.1.6 **ESKOM may:**

29.1.6.1 **let any portion of the Goods to any third party on such conditions as ESKOM may deem fit;**

29.1.6.2 **cede all or any of the Rights to any third party.**

29.2 THE OBLIGATIONS

29.2.1 ESKOM must:

29.2.1.1 ensure that any of ESKOM's gates that it had used is closed after use;

29.2.1.2 pay reasonable compensation for intentional damage or damage caused through a negligent act or omission, caused by ESKOM, its employees or agents in pursuit of the Rights, save where ESKOM is acting in accordance with sub-clause 29.1.2.7 of this Agreement; and subject the provisions of Clause 27 (Damages).

29.2.1.3 where a Contractor exercises the Rights, ensure that the Contractor complies with the obligations contained in this sub-clause 29.2.

29.2.2 The CUSTOMER must ensure that no:

29.2.2.1 building or structure is erected or installed above or below the surface of the ground within the Wayleave Area and no tree or bush is planted within the Wayleave Area or within the metres per table 1 above, from any structure-supporting mechanism (the "Restricted Area");

29.2.2.2 tree, which could grow to a height in excess of the horizontal distance of that tree from the nearest conductor of any power line is planted or allowed to continue growing, regardless that it is outside of the Wayleave or Restricted Area;

29.2.2.3 material which may in the opinion of ESKOM endanger any electricity infrastructure is placed within the Wayleave or Restricted Area.

29.2.3 The CUSTOMER must bring the existence of these Rights to the attention of any purchaser or other transferee of the Property (or of any portion of the Property) before the Property (or any portion thereof) is sold and/or transferred to such purchaser or transferee, or, where the CUSTOMER grants any further rights in or to the Property to any other third party, to such third party.

29.2.4 If the CUSTOMER is not the registered owner of the Property, per the Deeds' Office records, it must, in favour of ESKOM, obtain the permission of the registered owner of the Property to grant to ESKOM the Rights.

29.2.5 The CUSTOMER's attention is drawn to the provisions of section 10.17.1 of the regulations promulgated in terms of the Explosives Act 26 of 1956, which prescribes that when blasting is to be done within 500 (five hundred) metres of any electricity infrastructure, written confirmation must first be obtained from ESKOM concerning the protection of electricity infrastructure.

30. FORCE MAJEURE

30.1 If the Affected Party desires to invoke a Force Majeure Event as a cause for delay in the performance of any obligation hereunder, the Affected Party shall notify the other Party in writing setting out:

30.1.1 the date of commencement of the Force Majeure Event;

30.1.2 full particulars of the Force Majeure Event;

30.1.3 the impact of the Force Majeure Event on the Affected Party's obligations under this Agreement;

30.1.4 the Affected Party's reasonable estimate of the length of time which its performance has been and will be affected by such Force Majeure Event; and

30.1.5 the steps which it is taking or intends to take to remove and mitigate the adverse consequences of the Force Majeure Event on its performance hereunder;

provided that such notice (the '**Force Majeure Notice**') must be sent by the Affected Party not later than 3 (three) days after the date on which the Affected Party first had knowledge of the effect of such Force Majeure Event. If the Affected Party does not deliver a Force Majeure Notice in respect of a Force Majeure Event, such Party shall not be entitled to invoke the benefits of this Clause 30 in relation to such Force Majeure Event.

30.2 The Affected Party shall have the burden of proving both the existence of the Force Majeure Event and the effect (both as to nature and extent) which such Force Majeure Event has on its performance.

30.3 If the Parties are, on the basis of the Force Majeure Notice and any supporting documentation, unable to agree as to the existence or as to the effect of a Force Majeure Event by the date falling 60 (sixty) days after the receipt by the non-Affected Party of the Force Majeure Notice, then either Party shall be entitled to refer the Dispute for determination in accordance with sub-clause 31.1 below.

30.4 The Affected Party shall:

30.4.1 use reasonable endeavours to mitigate, rectify and overcome the effects of the Force Majeure Event on the performance of its obligations under this Agreement (including by recourse to alternate sources of services, equipment and materials and construction equipment);

30.4.2 use reasonable endeavours to ensure resumption of normal performance of this Agreement promptly following the cessation of the Force Majeure Event; and

30.4.3 give the other Party (i) regular reports on the progress of the mitigation measures and (ii) notice promptly on the cessation of the Force Majeure Event.

30.5 If it is agreed or determined that a Force Majeure Event has occurred, the Affected Party shall, provided that it has complied with the requirements of this Clause 30, not be liable for any failure to perform an obligation under this Agreement as a consequence of the Force Majeure Event but only to the extent that:

30.5.1 such performance is prevented, hindered or delayed by a Force Majeure Event; and

30.5.2 such failure could not have been removed, mitigated, rectified or overcome by the Affected Party acting as a Reasonable and Prudent Operator.

30.6 If the Affected Party's performance of all or a material part of its obligations under this Agreement is prevented, hindered or delayed by a Force Majeure Event then, provided that the Affected Party has complied with the requirements of this Clause 30, the time limits for the performance of those obligations (or any dates by which performance of those obligations are to be achieved) shall be extended by a period equal to the period by which its performance is prevented, hindered or delayed.

30.7 If the Force Majeure Event continues in effect for more than 90 (ninety) consecutive days, the Non-Affected Party shall have the right to terminate this Agreement after having given 14 (fourteen) days written notice to the Affected Party of such termination at any time prior to the cessation of such Force Majeure Event.

30.8 Notwithstanding that a Force Majeure Event otherwise exists, the provisions of this Clause 30 shall not excuse:

30.8.1 failure of either Party to make any payment of money in accordance with its obligations under this Agreement;

30.8.2 late delivery of equipment, machinery, plant, spare parts or materials caused by negligent conduct or wilful misconduct on the part of the Affected Party or any of its contractors;

30.8.3 late performance by either Party, caused by such Party's or such Party's subcontractor's failure to engage qualified subcontractors and suppliers or to hire an adequate number of personnel or labour;

30.8.4 mechanical or electrical breakdown or failure of equipment, machinery or plant owned or operated by either Party due to the manner in which such equipment, machinery or plant has been operated or maintained;

30.8.5 failure of either Party to perform any of its obligations under this Agreement in accordance with the requirements hereof prior to the occurrence of an Force Majeure Event;

30.8.6 delays resulting from reasonably foreseeable unfavourable weather or reasonably foreseeable unsuitable ground conditions or other similar reasonably foreseeable adverse conditions;

30.8.7 any failure by the Affected Party to obtain and/or maintain or cause to be obtained or and maintained any Approval, unless such failure is due to a change in Law;

30.8.8 strikes, lockouts and other industrial action by the employees of the Affected Party, any of its Affiliates or any contractor of the Affected Party or of any Affiliate, unless such action is part of any wider industrial action involving a significant section of the public sector, the public administration, the construction industry or the electricity supply sector;

30.8.9 wear and tear or random flaws in materials and equipment or breakdown in or degradation of equipment or machinery of the Affected Party; or

30.8.10 any failure by the CUSTOMER to deliver, replenish, replace or maintain **the Security.**

31. DISPUTES AND DISPUTE RESOLUTION

31.1 In the event that the Parties, notwithstanding the use of reasonable endeavours to do so, are unable to resolve any dispute between them arising out of or in connection with this Agreement (including, without limitation, any question regarding its existence, validity, interpretation, rectification or termination) (the "Dispute"), such Dispute shall be settled in accordance with the procedures set out in this Clause 31.

31.2 Where such a Dispute arises as contemplated in sub-clause 31.1, either Party (the "Disputing Party") shall within 2 (two) Business Days of the date on which the Dispute arose, give written notice of the Dispute (the "Dispute Notice") to the other Party (the "Receiving Party"), in accordance with the provisions of this Clause 31.

31.3 The Dispute Notice, which shall be sent to the address of the Receiving Party as specified in sub-clause 31.6 (the "Service Address"), shall:

31.3.1 inform the Receiving Party of the Dispute;

31.3.2 refer to the reasons for declaring the Dispute; and

31.3.3 describe the nature of the Dispute with sufficient clarity for the Receiving Party to be able to identify it.

31.4 Within 3 (three) Business Days of receipt of the Dispute Notice, the Receiving Party shall be obliged to send a written notice (the "Acknowledgement Notice") to the Disputing Party acknowledging receipt of the Dispute Notice.

31.5 Within 3 (three) Business Days of receipt of the Acknowledgement Notice, the Negotiation Representatives of the Parties, possessing sufficient authority to be able (if necessary with consultation back to their respective organisations) to resolve the Dispute, shall meet or communicate in such a manner expedient to resolving the dispute if it is impractical to meet in person (by way of example via email, video/telephone conferencing etc.) to attempt to settle the Dispute in an amicable manner, within a period of 3 (three) days after the commencement of the negotiations (the "Negotiation Period"). In the event that the Dispute is resolved between the Negotiation Representatives, the outcome of such negotiations shall be reduced to writing and signed by the Parties.

31.6 The Negotiation Representatives are:

For the CUSTOMER:
Name: ……
Designation: ……..
Contact Details:
Registered Address: ……...
Postal Address: ……..

Telephone: ……
Facs:……..

For ESKOM
Name: **Dan Ramasedi**
Designation: **Middle Manager Key Accounts Management**
Contact Details:
Registered Address: **Megawatt Park, Maxwell Drive, SUNNINGHILL**
Postal Address: **Megawatt Park, Maxwell Drive, SUNNINGHILL, 2157**

Telephone: 011 800 8000
Facs: ……..

Either Party may, by written notice to the other, change its abovementioned Negotiation Representative.

31.7 The Parties agree that while a Dispute is continuing, they shall both continue to perform their respective obligations under this Agreement until the Dispute has been fully and finally resolved in accordance with the provisions of this Clause 31. It being specifically agreed that where the nature of the Dispute precludes compliance (whether in full or in part) with this Clause 31, the Party who is so precluded from performing shall forthwith notify the remaining Party/ies that it is so unable to perform and the reasons therefor. Any Party receiving notice of an inability to perform in terms of this clause may dispute the content thereof, which dispute shall in itself be dealt with contemporaneously with the Dispute.

31.8 If the Dispute is not resolved by the Negotiation Representatives within the Negotiation Period, either Party shall, within a period of 5 (five) Business Days after the last day of the Negotiation Period, and by written notice to the other Party (the "Mediation Notice") refer the Dispute to mediation by 1 (one) mediator appointed in accordance with the remaining provisions of this Clause 31.

31.9 The Mediation Notice, which shall be sent to the Service Address of the other Party, shall:

31.9.1 record the failure of the Negotiation Representatives to resolve the Dispute within the Negotiation Period;

31.9.2 notify the other Party of the identities and details of 5 (five) mediators nominated by the Party sending the Mediation Notice, and request the other Party to, within 3 (three) Business Days of receipt of the Mediation Notice, and by written notice (the "Mediation Response Notice"), agree to the appointment of 1 (one) of such nominated mediators; and

31.9.3 advise the other Party of its right to, by way of the Mediation Response Notice, nominate 5 (five) mediators of its own should it object to the nominated mediators.

31.10 Should the other Party fail to respond to such Mediation Notice, within 5 (five) Business days of the giving of the Mediation Notice, the other Party will be deemed to have agreed to the use of the first listed mediator as nominated on the Mediation Notice.

31.11 If the Parties are not able to agree on the appointment of such mediator, within 3 (three) Business days of the giving of the Mediation Response Notice, either Party shall within 3 (three) Business Days thereafter, by written notice to the other Party, refer the appointment of the mediator to the Arbitration Foundation of Southern Africa (or its successor or body nominated in writing by it in its stead) ("AFSA").

31.12 Only persons with the adequate level of skill and expertise in relation to the nature of the Dispute and the scope of the contract shall be appointed as mediators. No person shall be eligible to be nominated or appointed as a mediator pursuant to this Agreement, if such person:

31.12.1 is presently or has been in the previous 24 (twenty-four) Months an employee or agent of, or consultant or counsel to, either Party or any Affiliate of either Party, or

31.12.2 acted against either Party or any Affiliate of either Party in the previous 24 (twenty-four) Months in a litigious proceeding, or

31.12.3 is not in good standing with any professional body that such person is affiliated with, or

31.12.4 is a national of a state with which the domicile of any Party does not maintain diplomatic relations

31.13 The mediation shall be conducted according to the directions of the mediator, and the Parties shall participate in the mediation, and shall respond to all reasonable directions and requests of the mediator in attempting to resolve the Dispute. The costs of the mediation shall be borne equally by the Parties, save where otherwise agreed to in writing by the Parties.

31.14 No prior direction, decision, conclusion or recommendation (or similar act) by any Party or the mediator shall be referred to, or used in any subsequent arbitration proceedings, whether in respect of the Dispute or any subsequent dispute which may arise, irrespective of whether or not such subsequent dispute is the same subject matter as the Dispute.

31.15 Should the mediation not resolve the Dispute within 7 (seven) Business Days of its commencement (the "Mediation Period"), either Party shall by written notice to the other Party (the "Arbitration Notice") refer the Dispute for resolution by arbitration in terms of the Rules of the Arbitration Foundation of Southern Africa from time to time in force (the "AFSA Rules"), subject to the remaining provisions of this Clause 31:

31.15.1 the then-current rules for expedited arbitration of AFSA (which shall not act as the administrator of the arbitration) shall govern such arbitration;

31.15.2 Regarding any arbitration conducted in accordance with this Clause 31:

31.15.2.1 The seat shall be the Republic of South Africa;

31.15.2.2 The arbitration shall be held and conducted in the city of Johannesburg in South Africa;

31.15.2.3 The arbitration shall be conducted in the English language and all documents submitted in connection with such proceeding shall be in the English language or, if in another language, accompanied by a certified English translation;

31.15.2.4 The arbitration shall be conducted before 1 (one) arbitrator appointed in accordance with the provisions of this Agreement;

31.15.2.5 Final and binding on the Parties. The arbitrator must allocate the cost of arbitration between the Parties to the arbitration in any arbitral award by the arbitrator.

31.16 The Arbitration Notice, which shall be sent to the Service Address of the other Party, shall:

31.16.1 record the failure of the Parties to resolve the Dispute within the Mediation Period;

31.16.2 notify the other Party of the identities and details of 5 (five) arbitrators nominated by the Party sending the Arbitration Notice, and request the other Party to, within 3 (three) Business Days of receipt of the Arbitration Notice, and by written notice (the "Arbitration Response Notice"), agree to the appointment of 1 (one) of such nominated arbitrators; and

31.16.3 advise the other Party of its right to, by way of the Arbitration Response Notice, nominate 5 (five) arbitrators of its own should it object to the nominated arbitrators.

31.17 If the Parties cannot agree on the arbitrator within a period of 2 (two) Business Days after the giving of the Arbitration Response Notice referral, either Party shall within 3 (three) Business Days thereafter, by written notice to the other Party, refer the appointment of the arbitrator to the Secretariat of AFSA, which shall, as it deems fit, appoint any 1 (one) of the arbitrators nominated by both parties.

31.18 Only persons with the adequate level of skill and expertise in relation to the nature of the Dispute and the scope of the contract shall be appointed as arbitrators. No person shall be eligible to be nominated or appointed as an arbitrator pursuant to this Agreement, if such person:

31.18.1 is presently or has been in the previous 24 (twenty- four) Months an employee or agent of, or consultant or counsel to, either Party or any Affiliate of either Party, or
31.18.2 acted against either Party or any Affiliate of either Party in the previous 24 (twenty- four) Months in a litigious proceeding, or
31.18.3 is not in good standing with any professional body that such person is affiliated with, or
31.18.4 is a national of a state with which the domicile of any Party does not maintain diplomatic relations.

31.19 Notwithstanding the AFSA Rules for expedited arbitrations, the arbitrator shall be obliged to provide written reasons for the award or other decision, together with reasons for such decision to the Parties within 14 (fourteen) Business Days after the conclusion of the arbitration hearing.

31.20 The Parties irrevocably agree that the decision of the arbitrator in any such arbitration proceedings shall be final and binding upon them, will forthwith be put into effect and may be made an order of any court of competent jurisdiction.

31.21 This Clause 31 will not preclude any party from access to an appropriate court of Law for interim relief in respect of urgent matters by way of an interdict, or mandamus pending finalisation of this dispute resolution process, for which purpose the Parties irrevocably submit to the jurisdiction of the South Gauteng High Court, a division of the High Court of the Republic of South Africa.

31.22 The periods for negotiation, mediation or arbitration may be shortened or lengthened by written agreement between the Parties.

31.23 This Clause 31 is separable and divisible from the rest of this Agreement and shall remain in effect even if the Agreement terminates, is nullified, held to be void or cancelled for any reason or cause.

31.24 Any complaint or dispute about the tariff, billing and quality of service arising from the CUSTOMER's resale of electricity must first be addressed by the CUSTOMER and if the CUSTOMER fails to resolve such complaint or dispute it shall be referred to ESKOM for resolution and if ESKOM also fails to resolve such complaint or dispute, it shall then be referred to NERSA for final resolution.

32. CONFIDENTIALITY

32.1 The Parties agree that the terms of this Agreement, all information of the Parties that has been exchanged pursuant hereto, including but not limited to details concerning pricing will be received in strict confidence and not be divulged to any person, save for employees directly involved with the execution of this Agreement and be used only for the purpose of this Agreement.

32.2 Each Party will use the same means as it uses to protect its own confidential information, but in no event less than reasonable means, to prevent the disclosure and to protect the confidentiality of such information. No information referred to in this Agreement will be disclosed by the recipient Party, its agents, representatives or employees without the prior written consent of the other Party.
32.3 These provisions do not apply to information which is:
32.3.1 publicly known or becomes publicly known through no unauthorised act of the recipient Party;
32.3.2 rightfully received by the recipient Party from a third party;
32.3.3 independently developed by the recipient Party without use of the other Party's information;
32.3.4 disclosed by the other Party to a third party without similar restrictions;
32.3.5 required to be disclosed pursuant to a requirement of a governmental agency or any applicable Law, so long as the Party required to disclose the information gives the other Party prior notice of such disclosure; or
32.3.6 publicly disclosed with the other Party's written consent.

32.4 This Clause 32 shall survive the termination of this Agreement.

33. NOTICES / ADDRESSES

33.1 Any notice, notification, request, demand or other communication for any purpose under this Agreement shall be in writing addressed -

in the case of the CUSTOMER as follows :…….

marked for the attention of the ……. ;

and in the case of ESKOM as follows : **Megawatt Park, Maxwell Drive, SUNNINGHILL, 2157**

marked for the attention of the **Key Customer Relations Manager**;

or to such other addresses, or for the attention of such other persons or department, as ESKOM and the CUSTOMER may from time to time notify to each other.

33.2 All notices, notifications, requests, demands or other communications, shall be deemed to have reached the other Party -

33.2.1 if delivered by hand, on the date of delivery;

33.2.2 if posted by ordinary mail or registered post, on the 5th (fifth) day following the date of such posting;

33.2.3 if transmitted by facsimile or any other electronic medium acceptable to both Parties, on the 1st (first) Business Day following the date of transmission / publication / delivery.

33.3 For the purpose of this Agreement the CUSTOMER's *domicilium citandi et executandi* shall be:

and ESKOM's *domicilium citandi et executandi* shall be:

Megawatt Park
Maxwell Drive
Sunninghill Ext. 3
SANDTON

Either Party may, by written notice to the other, change its abovementioned *domicilium*.

SIGNED for and on behalf of the **CUSTOMER** by the signatory below who warrants that **[he/she]** is duly authorised.

Date: 05 Febuary 2024

Signature: _____

Name:

Title: Craig Johnson

As Witnesses :

1. _____ 2. _____

SIGNED for and on behalf of **ESKOM** by the signatory below who warrants that **she** is duly authorised.

_ _
Date:

_ _
Name: Thando Ntsada
Title: Key Customer Relations Manager

As Witnesses :

1. _ 2. _

DEFINITIONS

1 **'Act of Insolvency'** shall mean in respect of a Party, the occurrence of one or more of the following events (or any event analogous to the following events):

1.1 such Party being unable or admitting an inability to pay its debts as they fall due, suspending making payments on any of its debts or, by reason of actual or anticipated financial difficulties, commencing negotiations with one or more of its creditors with a view to rescheduling any of its indebtedness;

1.2 the declaration of a moratorium in respect of any indebtedness of such Party; or

1.3 the taking of any corporate action, legal proceeding or other procedure or step in relation to:

(a) the suspension of payments, a moratorium of any indebtedness, winding-up, dissolution, administration or re-organisation (by way of voluntary arrangement, scheme of arrangement or otherwise) or business rescue of such Party, other than a solvent liquidation or reorganisation of such Party;

(b) a composition, compromise, assignment or arrangement with any creditor of such Party; or

(c) the appointment of a liquidator (other than in respect of a solvent liquidation of such Party), business rescue practitioner, receiver, administrative receiver, administrator, compulsory manager or other similar officer in respect off such Party or any of its assets;

and such action, legal proceeding or other procedure or step is acquiesced in by such Party or shall result in the entry of any order for relief or shall remain undismissed for not less than 60 (sixty) days.

2 **'Affected Party'** has the meaning referred to in sub-clause 40 of this Annexure A.

3 **'Agreement'** or **'this Agreement'** means the electricity supply contract between the Parties, comprising the Electricity Supply Agreement including the following Annexures:

3.1 Annexure 'A' Definitions
3.2 Annexure 'B' Schedule of Standard Prices for Non-Local Authority Supplies
3.3 Annexure 'C' Technical Details
3.4 Annexure 'D' Financial Details
3.5 Annexure 'E' NMD Rules
3.6 Annexure 'F' Eskom Connection Equipment
3.7 Annexure 'G' Customer Connection Equipment
3.8 Annexure 'H' Energy and Load Forecast
3.9 Annexure 'I' Quality of Supply Specification
3.10 Annexure 'J' Standard for Neutral Earthing of Transmission and Distribution Networks
3.11 Annexure 'K' Form of Guarantee
3.12 Annexure 'L' Guidelines on Electricity Resale
3.13 Annexure 'M' Reseller Registration Form
3.14 Annexure 'N" Form of Customer Categories
3.15 Annexure 'O' Authorisation for Debit Order or Automatic Payment of Electricity Account
3.16 Annexure 'P' Standard for the Estimation of Large Power User (LPU) Metering Data on DAS
3.17 Annexure 'Q' Form of Early Termination Guarantee
3.18 Annexure 'R' Form of Holding Company Early Termination Guarantee
3.19 Annexure 'S' Form of Irrecoverable Cost Guarantee
3.20 Annexure 'T' Form of Holding Company Electricity Accounts Guarantee

4 **'Approval'** means any permission, permit, approval, consent, licence, authorisation, registration, grant, acknowledgement or agreement to be obtained from any Government or Governmental Authority by either Party under any Law or the Code(s) and each Party's Approval or Parties' Approvals shall be construed accordingly**.**

5 **'Approved Credit Rating for South African Financial Institutions'** means (i) at least one investment grade long-term unsecured local currency debt rating by a rating agency which is at or better than 'BBB-' (as determined by Standard and Poor's Rating Group or Fitch Ratings), 'Baa3' (as determined by Moody's Investor Services, Inc.); or (ii) long-term unsecured local currency debt rating not worse than the highest South Africa's sovereign local currency debt rating; or (iii) South African Long-term National Scale Rating no worse than 'zaA-' (as determined by Standard & Poor's) or 'A-(zaf)' (as determined by Fitch Ratings) or 'A3.za' (as determined by Moody's Investor Services, Inc.) or (iv) equivalent rating to any of the above ratings (as determined by a rating agency approved by ESKOM).

6 **'Approved Credit Rating for Non-South African Financial Institutions'** means (i) at least one investment grade long-term unsecured foreign currency debt rating by a rating agency which is at or better than 'BBB-' (as determined by Standard and Poor's Rating Group or Fitch Ratings), 'Baa3' (as determined by Moody's Investor Services, Inc.); or (ii) long-term unsecured foreign currency debt rating not worse than the highest South Africa's sovereign foreign currency debt rating; or (iii) equivalent rating to any of the above ratings *(as determined by a rating agency approved by ESKOM)*.

7 **'Approved Credit Rating for South African Holding Companies'** means (i) at least one investment grade long-term unsecured local currency debt rating by a rating agency which is at or better than 'BBB-' (as determined by Standard & Poor's or Fitch Ratings) or 'Baa3' (as determined by Moody's Investor Services, Inc); or (ii) long-term unsecured local currency debt rating not worse than the highest South Africa's sovereign local currency debt rating; or (iii) South African long-term national scale rating no worse than 'zaA' (as determined by Standard & Poor's) or 'A-(zaf)' (as determined by Fitch Ratings) or 'A3.za' (as determined by Moody's Investor Services, Inc) or (iv) equivalent rating to any of the above ratings *(as determined by a rating agency approved by ESKOM)*.

8 **'Approved Credit Rating for Non-South African Holding Companies'** means (i) at least one investment grade long-term unsecured foreign currency debt rating by a rating agency which is at or better than 'BBB-' (as determined by Standard & Poor's or Fitch Ratings) or 'Baa3' (as determined by Moody's Investor Services, Inc); or (ii) long-term unsecured foreign currency debt rating not worse than the highest South Africa's sovereign foreign currency debt rating; or (iii) equivalent rating to any of the above ratings *(as determined by a rating agency approved by ESKOM)*.

9 **'Bill Date'** means the date appearing on the electricity account i.e the day the electricity account is generated in the billing system.

10 **'Business Day'** means a day, other than a Saturday, Sunday or official public holiday in South Africa.

11 **'Cash Deposit'** means a sum of money paid to ESKOM by the CUSTOMER as security;

12 **'Code(s)'** means the Distribution Code, the South African Grid Code, or any other code, published by NERSA, as applicable and as amended, modified, extended, replaced or re-enacted from time to time.

13 **'Completion Date'** means the date on which ESKOM delivers a written notice to the CUSTOMER certifying that the Eskom Connection Works have been completed and are ready to be commissioned.

14 **'Connection'** means the physical connection of the CUSTOMER's Distribution System to ESKOM's Distribution System and/or Transmission System.

15 **'Connection Charge'** means the total charge recouped or to be recouped by ESKOM from the CUSTOMER for the cost of the Eskom Connection Equipment comprising the Capital Costs calculated in compliance with the Code(s).

16 **'Contractor'** means any entity appointed as an independent contractor to execute work on the Property in the exercise of the Rights, as set out herein.

17 **'Contract Works'** means the portion of the Eskom Connection Works to be undertaken by the CUSTOMER in accordance with the conditions of the Self-Build Agreement.

18 **'Cost Estimate Fee'** means the portion of the Connection Charge paid by the CUSTOMER and received by ESKOM for the issue of the Cost Estimate Letter, the value of which is set out in Annexure 'D' (*Financial Details*).

19 **'Cost Estimate Letter'** means the letter, issued by ESKOM to the CUSTOMER with a non-binding estimation of the costs of the Eskom Connection Works to Connect the Electrical Installation to the Distribution System, referred to in Annexure 'C' (*Technical Details*).

20 **'CUSTOMER'** means the person/entity identified in Clause 1 of this Agreement who is a non-licensed trader of electricity, has a bulk supply point and is permitted to resell electricity without a Distribution License.

21 **'Customer Connection Equipment'** means the CUSTOMER's equipment on the CUSTOMER side of the Point of Delivery to Connect the CUSTOMER's Distribution System to ESKOM's Distribution System and/or the Transmission System, as described in Annexure 'C' (*Technical Details*) , which shall be owned, operated and maintained by the CUSTOMER.

22 **'CUSTOMER's Point(s) of Delivery'** means the Point(s) of Delivery as described in Annexure 'C' (Technical Details).

23 **'CUSTOMER's Point(s) of Supply'** means the Point(s) of Supply as described in Annexure 'C' (Technical Details).

24 **'Disconnection'** means a termination by ESKOM of the electricity supply to the CUSTOMER in accordance with the provisions of this Agreement, **'Disconnect' or 'Disconnected'** shall have the corresponding meaning;

25 **'Discontinuation'** means a termination by ESKOM of the electricity supply to a CUSTOMER, at the request of the CUSTOMER.

26 **'Distribution Code'** means the set of documents entitled "South African Distribution Code" published by NERSA, as amended, modified, extended, replaced or re-enacted from time to time.

27 **'Distribution Connection Charge'** means the portion of the Connection Charge associated with the Distribution System, which may comprise of the Distribution Standard Connection Charge and the Distribution Premium Connection Charge.

28 **'Distribution Premium Connection Charge'** means the portion of the Connection Charge associated with a premium connection and the Distribution System.

29 **'Distribution Standard Connection Charge'** means the portion of the Connection Charge associated with a standard connection and the Distribution system.

30 **'Distribution System'** means the network infrastructure consisting of assets operated at a nominal voltage of 132 kV or less, not classified as transmission transformation equipment.

31 **'Due Date'** means a period of 14 (fourteen) days within which the CUSTOMER must pay an electricity account calculated from the 1st (first) day following the Bill Date *where the CUSTOMER has provided a 3 (three) Months security* or means a period of 7 (seven) days within which the CUSTOMER must pay an electricity account calculated from the Bill Date *where the CUSTOMER has provided a 2 (two) Month security*.

32 **'Early Termination Guarantee'** means a guarantee for an amount equal to the Early Termination Guarantee Amount issued by a financial institution or a Holding Company which (a) holds an Approved Credit Rating for South African or Non-South African Financial Institutions or Approved Credit Rating for South African or Non-South African Holding Companies and (b) is registered under applicable Law to carry on business in South Africa and constitutes an on demand, unconditional and irrevocable commitment to pay, substantially set out in Annexure 'N' (*Form of Early Termination Guarantee)*

33 **'Early Termination Guarantee Amount'** means a) initially an amount as set out in Part A of Annexure 'D' (*Financial Details*) and (b) thereafter reduced annually by one tenth (1/10th) with effect from the fourth (4th) year following the Completion Date

34 **'Electricity Accounts Guarantee'** means a guarantee and initially for the amount stated therein, which (i) is issued by a financial institution or Holding Company which (a) holds an Approved Credit Rating for South African or Non-South African Financial Institutions or Approved Credit Rating for South African or Non-South African Holding Companies and (b) is registered under applicable Law to carry on the business in South Africa and (ii) constitutes an on demand, unconditional and irrevocable commitment by the issuer to pay, substantially in the form set out in Annexure 'K' (*Form of Electricity Accounts Guarantee*)

35 **'Electricity Regulation Act'** means the Electricity Regulation Act (Act 4 of 2006).

36 **'ESKOM'** means Eskom Holdings SOC Ltd (Registration Number 2002/015527/30) a state-owned company with limited liability incorporated in terms of the laws of the Republic of South Africa with its registered office at Megawatt Park, Maxwell Drive, Sandton.

37 **'Eskom Connection Equipment'** means ESKOM's equipment and assets on ESKOM's Distribution System and/or the Transmission System side of the Point of Delivery to Connect the CUSTOMER's Distribution System to ESKOM's Distribution System and/or Transmission System as described in Annexure 'C' (Technical Details), which shall be owned, operated and maintained by ESKOM.

38 **'Eskom Connection Works'** means the works required to be constructed, changed or enabled on ESKOM's Distribution System and/or Transmission System side of the Point of Delivery, and all related activities by which the Eskom Connection Equipment shall establish a Connection between the Point/s of Delivery and ESKOM's Distribution System and/or the Transmission System.

39 **'Existing Electricity Supply Agreement'** has the meaning as defined in sub-clause 2.1 of this Agreement.

40 **'Force Majeure'** means any act, event or circumstance or any combination of acts, events, conditions and/or circumstances (a **'Force Majeure Event'**) which is not within the reasonable control, directly or indirectly, of the Party claiming to be affected by it (the **'Affected Party'**), but only if and to the extent that:

40.1. it is without fault or negligence on the part of the Affected Party;

40.2. it is not the direct or indirect result of a breach of any of the obligations of the Affected Party or its Contractors under this Agreement;

40.3. it was not foreseeable or, if foreseeable, could not have been avoided (including by reasonable prevention) or the effects of which could not have been overcome or mitigated by the Affected Party or the Contractor(s) concerned, acting in accordance with the standards of a Reasonable and Prudent Operator;

40.4. it prevents, hinders or delays the Affected Party in its performance of all or a material part of its obligations under this Agreement;

40.5. with respect to the CUSTOMER only, if it materially delays the critical path for the completion of the Customer Connection Works or requires the CUSTOMER to incur material additional costs to achieve the completion of the Customer Connection Works by the relevant date specified in the Quote;

40.6. with respect to ESKOM only, if it occurs prior to the Completion Date, and it materially delays the critical path for completion of the Eskom Connection Works and the Commissioning of the Eskom Connection Equipment or requires ESKOM to incur material and substantial costs to Commission the Eskom Connection Equipment by the relevant date specified in the Quote; and

40.7. the Affected Party has complied with sub-clause 30.1.

Without limiting the generality of the foregoing, a Force Majeure Event may include any of the following acts, events, conditions or circumstances, but only to the extent that it satisfies the requirements set out in sub-clauses 40.1 to 40.4 (inclusive) above:

40.8. any natural event, disaster or Act of God, which includes but is not limited to cyclone, drought, fire, lightning, earthquake, explosion, tsunami, tempest, unusual flood, violent storm, typhoon, tornado, ionising radiation, epidemic or plague. A reasonably foreseeable natural event, such as a delay resulting from unfavourable weather conditions or unsuitable ground conditions or any similar reasonably foreseeable and regularly occurring conditions shall be excluded from and not constitute a Force Majeure Event;

40.9. any accidental loss or damage to the Eskom Connection Works and/or the Customer Connection Equipment;

40.10. any blockade or embargo;

40.11. any delay in obtaining any Approvals, provided that the Affected Party has complied with all of its obligations in respect of the obtaining of such Approvals;

40.12. strikes, lock outs and other industrial action other than by employees of the Affected Party or of any Contractor of the Affected Party;

40.13. war, civil war, armed conflicts or terrorism in each case occurring within or involving the Republic of South Africa;

40.14. nuclear contamination;

40.15. chemical or biological contamination of the Facility and/or the Property from any of the events referred to in sub-clauses 40.13 and 40.14 above;

40.16. any restriction imposed by a Governmental Authority in respect of the supply of water to the Customer Connection Equipment or Eskom Connection Works and or any limitation imposed by a Governmental Authority in respect of the water use right that occurs pursuant to any event falling within sub-clause 40.8 that is not caused or contributed to by either of the Parties and/or any Governmental Authority;

40.17. the expropriation or compulsory acquisition of the Property or any material portion thereof; and

40.18. System Force Majeure;

each such act, event, condition or circumstances or combination thereof being a 'Force Majeure Event'.

41 **'Force Majeure Notice'** has the meaning set forth in sub-clause 31.1 of this Agreement.

42 **'Goods'** mean all structures, conductors, cables, appliances and, without limitation, everything else as may be necessary or convenient in exercising the Rights.

43 **'Government' or 'Governmental Instrumentality'** means the government of South Africa or any ministry, department or political subdivision thereof, and any person under the direct or indirect

control of any such government exercising executive, legislative, judicial, regulatory or administrative functions of or pertaining to government or any other governmental entity, instrumentality, agency, authority, corporation, committee or commission, or any independent regulatory authority, in each case within South Africa, and any successor to or any assignee of any of the foregoing but excluding ESKOM acting in its commercial capacity under this Agreement.

44 **'Holding Company'** means, in relation to a subsidiary, a juristic person that controls that subsidiary, as set out in the Companies Act 71 of 2008.

45 **'Interrupt'** or **'Interruption'** means a temporary interruption of the supply of electricity to the CUSTOMER by ESKOM due to, and for the duration of, emergency or agreed events, and planned or unplanned events.

46 **'Irrecoverable Cost Guarantee'** means a guarantee issued initially for the amount stated therein, which (i) is issued by a financial institution which (a) holds an Approved Credit Rating for South African Financial Institutions or Non-South African Financial Institutions and (b) is registered under applicable Law to carry on the business in South Africa and (ii) constitutes an on demand, unconditional and irrevocable commitment to pay by the financial institution by which it is issued, for an amount equal to the Irrecoverable Cost Guarantee Amount, substantially in the form set out in.

47 **'Irrecoverable Cost Guarantee Amount'** means (a) initially an amount as set out in Part A of Annexure 'D' (Financial Details) and (b) thereafter reduced annually in accordance with sub-clause 13.5.

48 **'Law'** means (a) any constitution, statute, ordinance, proclamation, primary or subordinated legislation or other legislative measure, as well as the common law and customary law and any judgment, decision, interdict, order or rule of any court or tribunal with relevant jurisdiction, in each case having the force of law in South Africa and (b) any directive, requirement, instruction, request, order, regulation, condition of or limitation in any necessary Governmental authorisation, registration, grant, acknowledgement, exemption or agreement to be obtained from, or code, guideline, policy, direction or rule of a Governmental Instrumentality which is legally binding, including the Code(s).

49 **'Maximum Demand'** means the highest average demand measured in kVA or kW at the Point of Delivery or Point of Supply during a 30 minute integrating period in a Month.

50 **'Monopoly Works'** means those non-contestable works forming part of the Eskom Connection Works which remain ESKOM's responsibility under the Self-Build Agreement to ensure a standard of work that meets ESKOM's quality of supply, reliability and safety standards.

51 **'Metering Installation'** means the meter(s) and the fittings, equipment, wiring and installations related to the meter(s) at the CUSTOMER's Point of Supply.

52 **'Meter-reading Date'** means the date on which the quantities of electrical energy and power supplied are measured and recorded by ESKOM in terms of sub-clause 22.2 of this Agreement.

53 **'Minimum Liability Period'** means the period as stipulated in Annexure D (*Financial Details).*

54 **'Month'** means the period from a Meter-reading Date to the next Metering-reading Date and **'**Monthly**'** has a corresponding meaning.

55 **'Monthly Connection Charge'** means a Connection Charge that is payable Monthly whether any electricity is consumed in any month or not. A Monthly Connection Charge may be a Standard Connection Charge or a Premium Connection Charge.

56 **'National System Operator'** means ESKOM acting as the entity licensed to be responsible for short-term reliability of the power system and which is in charge of controlling and operating the Transmission System and dispatching generation (or balancing the supply and demand) in real time.

57 **'NERSA'** means the National Energy Regulator of South Africa, established in terms of the National Energy Regulator Act, Act 40 of 2004, or its legal successor-in-title.

58 **'NMD Rules'** means the rules pertaining to the Notified Maximum Demand as set out in the Schedule of Standard Prices, approved by NERSA.

59 **'Non-Affected Party'** has the meaning referred to in sub-clause 30.1 of the Electricity Supply Agreement.

60 **'Notified Maximum Demand'** means the maximum demand per Point of Delivery notified in writing by a customer and accepted by ESKOM in accordance with the NMD Rules.

61 **'NRS 048'** means the quality of supply specification issued by the South African Bureau of Standards, as revised from time to time or as replaced by a national standard.

62 **'NRS 057'** means the code of practice for electricity metering issued by the South African Bureau of Standards, as revised from time to time or replaced by a national standard.

63 **'Parties'** shall mean the Parties to this Agreement as described in Clause 1 of this Agreement and **'Party'** shall be construed accordingly.

64 **'Point(s) of Common Coupling'** means the electrical node, typically a busbar, on ESKOM's network, electrically nearest to a customer's Point of Delivery, at which more than one customer is

or may be connected or metered. The PCC is used in the context of quality of supply emission limits as set out in Annexure 'I' (Quality of Supply Specification).

65 **'Point(s) of Delivery'** means either a single Point of Supply or a specific group of Points of Supply on ESKOM's Distribution System or Transmission System located within a single substation, at which electricity is supplied to a municipality or a customer at the same declared voltage and tariff.

66 **'Point(s) of Evaluation'** means the electrical node(s) on ESKOM's Distribution System where the quality of supply emission levels of the CUSTOMER are to be assessed against the quality of supply emission limits. The POE may be at the Point of Common Coupling (PCC) or the Point of Connection (POC) or any other point as determined by ESKOM.

67 **'Point(s) of Supply'** means the electrical nodes on ESKOM's Distribution System or Transmission System where a municipality's or a customer's electrical equipment is physically connected to ESKOM's electrical equipment.

68 **'Premium Connection'** means a Connection made or to be made between a customer's Distribution System and ESKOM's Distribution System or Transmission System based on the customer's requirements, that are in excess of the specification of a Standard Connection, comprising Premium Equipment and/or a Premium Connection Condition.

69 **'Premium Connection Charge'** means that portion of the Connection Charge payable for costs associated with the Premium Connection.

70 **'Premium Connection Condition'** means a condition that exists when the Connection between a customer's Distribution System and ESKOM's Distribution System and/or Transmission System comprises a technical configuration that is considered at the time of refurbishment or replacement to be in excess of a Standard Connection.

71 **'Premium Equipment'** means the equipment to be constructed or to be installed if a customer elects a Premium Connection, and is in addition to and/or in place of Standard Equipment.

72 **'Property'** means the CUSTOMER's property, as described in sub-clause 2.1 of this Agreement and in Annexure 'C' (Technical Details), on which a supply of electricity is required by the CUSTOMER.

73 **'Quote'** means the budget quote or quote with its appendices or annexures, issued by ESKOM and accepted by the CUSTOMER in accordance with its terms.

74 **'Quotation Fee'** means the portion of the Connection Charge paid by the CUSTOMER and received by ESKOM for the issue of the Quote for the Connection of the Electrical Installation to the Distribution System and/or the Transmission System.

75 **'Reasonable and Prudent Operator'** means a person acting in good faith to perform its contractual obligations and, in so doing and in the general conduct of its undertaking, exercising that degree of skill, diligence, prudence, responsibility and foresight which would reasonably and ordinarily be expected from a skilled and experienced operator complying with all applicable Law, engaged in the same or a similar type of undertaking, in the same or similar circumstances and conditions, and any references herein to the 'standards of a Reasonable and Prudent Operator' shall be construed accordingly.

76 **'Residual Connection Charge'** means a charge applicable to existing customers whose rebatable connection charge was not fully reduced by the once off reduction, at the time when the rebatable connection charge was phased out.

77 **'Restricted Area'** means no building or structure is erected or installed above or below the surface of the ground within the Wayleave Area and no tree or bush is planted within the Wayleave Area or within the metres per Table 1 under Clause 29 of this Agreement, from any structure-supporting mechanism.

78 **'Rights'** mean the CUSTOMER grants, generally, an irrevocable right, in perpetuity and free of charge, to Eskom and over the Property, for the distribution and transmission of electricity and related purposes.

79 **'Schedule of Standard Prices for the Tariff '** means ESKOM's published tariffs and charges and the NMD Rules, applicable to customers, as approved by NERSA and as amended from time to time.

80 **Security'** means a Cash Deposit or Electricity Accounts Guarantee for an amount equal to the Security Amount.

81 **'Security Amount'** means a) initially an amount as set out in Part A of Annexure 'D' (*Financial Details*) and b) thereafter an amount as varied by ESKOM on written notice to the CUSTOMER in accordance with sub-clause 11.2 of this Agreement.

82 **'South African Grid Code'** means the set of documents entitled "South African Grid Code" published by NERSA,

83 **'Standard Connection'** means a Connection made to or to be made between the customer's Distribution System and ESKOM's Distribution System or Transmission System based on the lowest

life-cycle costs design that meets the specifications in terms of NRS 048 and the Code(s) for a technically acceptable solution.

84 **'Standard Connection Charge'** means a charge payable for costs associated with a Standard Connection.

85 **'System Force Majeure'** means any constraint or congestion on, or any unavailability, Interruption, disruption, breakdown, inoperability or failure of, any part of ESKOM's Distribution and/or Transmission System meeting the requirements for a Force Majeure Event set forth in Clause 30 (Force Majeure) of this Agreement.

86 **'Tariff'** means the tariff as specified in Annexure 'D' (*Financial Details)*

87 **Transmission Connection Charge'** means the portion of the Connection Charge associated with the Transmission System, which may comprise of the Transmission Standard Connection Charge and the Transmission Premium Connection Charge.

88 **'Transmission Premium Connection Charge'** means the portion of the Connection Charge associated with a premium connection and the Transmission System.

89 **'Transmission Standard Connection Charge'** means the portion of the Connection Charge associated with a standard connection and the Transmission System.

90 **'Transmission System'** means all ESKOM's lines and substation equipment where the nominal voltage is above 132 kV. All other equipment operating at lower voltages are either part of ESKOM's Distribution System or classified as transmission transformation equipment.

91 **'VAT'** means value added tax as contemplated in the Value Added Tax Act (Act No 89 of 1991), as amended or re-enacted from time to time.

92 **'Wayleave Area'** means the route to be agreed/agreed between the Parties, and comprising an area on either side of the centre line of the Goods, once they are built, as per Table 1 under Clause 29 of this Agreement.

93 **'Year'** means ESKOM's financial year which is a period of 12 (twelve) Months commencing on 1 April in a calendar year and ending on 31 March in the subsequent calendar year.

ANNEXURE 'C'

NIGHTSAVE URBAN *SMALL* SCHEDULE OF STANDARD PRICES FOR NON-LOCAL AUTHORITY SUPPLIES - 1 APRIL 2023 TO 31 MARCH 2024*

1. STANDARD PRICES

The standard prices contained in this schedule to be charged by Eskom for electricity supplied or made available by Eskom to customers, shall, subject to the provisions of the Electricity Regulation Act (Act No 4 of 2006), or its successor-in-title, be as set out hereunder.

*These terms, conditions and prices contained in this schedule are approved by NERSA and are valid until Eskom's next price increase or tariff changes as approved by NERSA from time to time.

2. DEFINITIONS

For the purpose of this Schedule the following words and phrases shall have the same meanings as assigned to them herein:

Account means the invoice received by a customer for a single **POD/point of supply** or if consolidated, multiple **points of delivery**/supply for electricity supplied and/or use of the **System**.

Active energy charge or energy charge means the charge for each unit of energy consumed, typically charged for as c/kWh.

Administration charge means the daily fixed charge payable per **POD/point of supply/service agreement** to recover administration-related costs such as meter reading, billing, and meter capital. It is based on the **monthly utilised capacity** or **monthly maximum exported capacity** per **POD/point of supply/service agreement**.

Affordability subsidy charge means the transparent charge indicating socio-economic subsidies related to the supply of electricity to **residential tariffs** and is payable on Eskom related active energy sales to **non-local authority tariffs**.

Ancillary Service charge means the charge that recovers the cost of providing ancillary services by the System Operator.

Annual utilised capacity means the higher of the **notified maximum demand** (**NMD**) or the **maximum demand**, per **POD/point of supply** measured in kVA, and registered during a rolling 12-month period.

Annual maximum export capacity means the higher of the notified **maximum export capacity** (**MEC**) or the actual **maximum exported capacity**, per **point of supply** measured in kW, and registered during a rolling 12-month period.

Chargeable demand means the highest average demand measured in kVA in a billing month during the chargeable time periods specified for each tariff. For WEPS, Megaflex and Megaflex Gen, the chargeable period is during these tariffs peak and standard periods and for Nightsave Urban (Large and Small) and Nightsave Rural during Nightsave's peak periods.

Code means the Distribution Code, the South African Grid Code, the Grid Connection Code for Renewable Power Plants, or any other code, published by NERSA, as applicable, and as amended, modified, extended, replaced or re-enacted from time to time.

Distribution means the regulated business unit through which Eskom constructs, owns, operates, and maintains the **Distribution System** in accordance with its licence and the **Code**.

Distribution connected means connected to the **Distribution system.**

Distribution losses charge means the production-based (energy) charge to generators. The losses charge is based on the approved loss factors, the load factor, the amount of energy produced seasonally and TOU and the WEPS energy rate (excluding losses).

Distribution network capacity charge (previously known as the **Distribution network access charge**) means the R/kVA or **R/POD** fixed network charge raised to recover **Distribution** network costs and depending on the tariff is charged on the **annual utilised capacity** or **maximum export capacity** where **maximum demand** is measured or the **NMD** where **maximum demand** is not measured.

Distribution network demand charge means the R/kVA or c/kWh variable network charge raised to recover Distribution network costs and depending on the tariff may be charged on the **chargeable demand** or the active energy.

Distribution System means Eskom's network infrastructure consisting of assets operated at a nominal voltage of 132 kV or less, not classified as transmission transformation equipment.

Distribution use-of-system (DUoS) **charges** means the network tariffs charged for making capacity available, connecting to and for the use of the **Distribution System**. The **DUoS** charges are the source of the **Distribution** network charge components in the retail tariff structures.

DUoS charge (generators) means the **DUoS** charges payable by generators. These **DUoS** charges for generators comprise the **network capacity charge** based on **maximum export capacity**, the **losses charge**, the **ancillary service charge**, the **service charge** and the **administration charge**.

DUoS charge (loads) means the **DUoS** charges payable by loads. These **DUoS** charges comprise the **network capacity charge**, the **network demand charge**, the **urban low voltage subsidy charge**, the **ancillary service charge**, the **service charge**, the **administration charge** and the **electrification and rural network subsidy charge**.

Electrification and rural network subsidy charge means the **DUoS charge** transparently indicating the contribution towards socio-economic network-related subsidies for Residential and $\mathbf{Rural_p}$ tariffs and is payable by loads that use the **Distribution** or **Transmission System** for the delivery of energy.

Energy demand charge means the seasonally differentiated charge per **POD** that recovers peak energy costs and is based on the **chargeable demand**.

Embedded Transmission use-of-system (ETUoS) charge means the TUoS charges payable by customers connected to the **Distribution** network.

Excess network capacity charge (previously known as the **excess network access charge)** means the charge payable with reference to the **NMD rules** and is based on the maximum demand exceeding the NMD multiplied by the **event number** (recorded every time the NMD is exceeded) multiplied by the applicable **network capacity charges** for the tariff.

High-demand season means the **TOU** Period from 1 June to 31 August of each year.

High voltage (HV) networks usually consist of equipment supplied at a voltage greater than 22 kV and consist of the distribution substations and networks. A substation is considered an **HV** substation when the primary side of the substation is supplied at a voltage > 22 kV.

Key customer means a customer that consumes more than 100 GWh per annum on a contiguous site under a single management structure or is prepared to pay to be a Key Customer.

Local authority tariffs mean tariffs applicable to municipal bulk points of supply.

Loss factors mean the factor indicating the cost or benefit of technical energy losses on the **Transmission** and the **Distribution System**. The **Distribution loss factors** differ per voltage category and per $\mathbf{Rural_p}$ and $\mathbf{Urban_p}$ categories. The **Transmission loss factors** differ for generators and loads and are based on the **Transmission zones**.

Losses charge means the charge payable based on the applicable **loss factors** and the WEPS rate excluding losses.

Low-demand season means the TOU Period from 1 September to 31 May of each year.

Maximum demand/exported capacity means the highest average demand measured in kVA or kW at the **POD/point of supply** during a 30-minute integrating period in a billing month.

Maximum export capacity (MEC) means the maximum capacity at the **point(s) of supply** notified by the customer and accepted by Eskom for the **t**ransmission of electrical energy between a generator and the **Transmission or Distribution System**. *Note: The notification of the maximum export capacity shall be governed by the **NMD and MEC rules.***

Medium voltage (MV) networks consist of the networks above 1 kV up to 22 kV. Eskom has specifically designated some rural networks with a voltage of 33 kV as rural reticulation networks. A substation is considered a MV substation when the primary side of the substation is supplied at a voltage ≤ 22 kV.

Monthly maximum exported capacity means the higher of the notified **maximum export capacity (MEC)** or the actual **maximum exported capacity**, measured in kW registered during the billing month.

Monthly utilised capacity means the higher of the **notified maximum demand** (**NMD**) or the **maximum demand**, measured in kVA or kW registered during the billing month.

Network capacity charge (previously known as the **network access charge**) means the R/kVA or R/**POD** fixed network charge raised to recover network costs and depending on the tariff is charged on the **annual utilised capacity** or **maximum export capacity** where **maximum demand** is measured or the **NMD** where **maximum demand** is not measured.

Network demand charge means the R/kVA or c/kWh variable network charge raised to recover network costs and depending on the tariff may be charged on the **chargeable demand** or the active energy.

Non-local authority tariffs mean the tariffs applicable to Eskom's direct customers (i.e., customers within Eskom's licensed area of supply) and exclude the **non-local authority tariffs.**

Notified maximum demand (NMD) means the contracted **maximum demand**, notified in writing by the customer and accepted by Eskom **per POD/point of supply**. *Note: The notification of demand shall be governed by the **NMD (and MEC) rules.***

NMD (and MEC) rules means the rules approved by NERSA and as amended from time to time for the notification of demand or maximum export capacity or changes to or exceedances of the **NMD or MEC**.

Off-peak period means the **TOU periods** of relatively low **system** demand.

Peak period means the **TOU periods** of relatively high system demand.

Point of delivery (POD)/point of supply means either a single point of supply, or a specific group of points of supply on Eskom's **System,** from where electricity is supplied to the customer by Eskom, or from where the customer supplies electricity to Eskom's **System** located within a single substation, at which electricity is supplied/delivered to the customer at the same declared voltage and tariff. Note: This can be a metering or summation point.

Public holidays mean the treatment of charges on **public holidays** as specified by Eskom.

Reactive energy charge means a c/kVArh charge based on the power factor and tariff of the **POD**.

Residential tariffs mean the Homelight and Homepower suite of tariffs.

Rural$_p$ means areas classified as rural by Eskom for the purposes of tariff design and classification.

Service agreement means each tariff /transaction/contract linked to an account.

Service and administration charge means the monthly charge payable per **account/service agreement** for service and administration related costs. (Also see **service charge** and **administration charge**).

Service charge means the daily fixed charge payable per **account** to recover service-related costs and is based on the sum of th**e monthly utilised capacity(s)** or **maximum export capacity(s)** of all **PODs** linked to an **account**.

Standard period means the **TOU periods** of relatively mid system demand.

Standard charge/fee means the fees/charges described in the paragraph 8.

System means the **Transmission** and **Distribution** network infrastructure consisting of all lines and substation equipment.

Time-of-use (TOU) tariff means a tariff with energy charges that change during different **TOU periods** and seasons.

TOU periods mean time blocks based on the volume of electricity demand during high, mid and low demand periods and may differ per tariff. The **TOU periods** typically are **peak, standard,** and **off-peak** periods and differ during in **high** and **low demand seasons**.

Transmission means the regulated business unit through which Eskom constructs, owns, operates and maintains the **Transmission System** in accordance with its licence and the **Code.**

Transmission connected means connected to the **Transmission system.**

Transmission system means Eskom's electricity **system** consisting of all lines and substation equipment where the nominal voltage is above 132 kV or where the nominal voltage is lower than or equal to 132 kV and there are no **Distribution System** assets.

Transmission use-of-system (TUoS) charges means the network tariffs charged for making capacity available, connecting to and for the use of the **Transmission System**. The **TUoS** charges are the source of the **ETUoS** and the **Transmission network charge** components in the retail tariff structures.

Transmission network access charge means the same as **Transmission network charge.**

Transmission network charge means the network related **TUoS** charge.

Transmission zone(s) means the geographic differentiation, applicable to **Transmission** network charges and **loss factors**, to indicate the costs associated with the delivery and transmission of energy.

Urban$_p$ areas means areas classified by Eskom as urban for the purposes of tariff design and classification.

Urban low voltage subsidy charge means the charge transparently indicating the network-related cross subsidy payable by ≥ 66 kV **Urban$_p$** connected supplies for the benefit of < 66 kV connected **Urban$_p$** supplies.

Utilised capacity means the same as **annual utilised capacity**.

3. TIME OF USE PERIODS

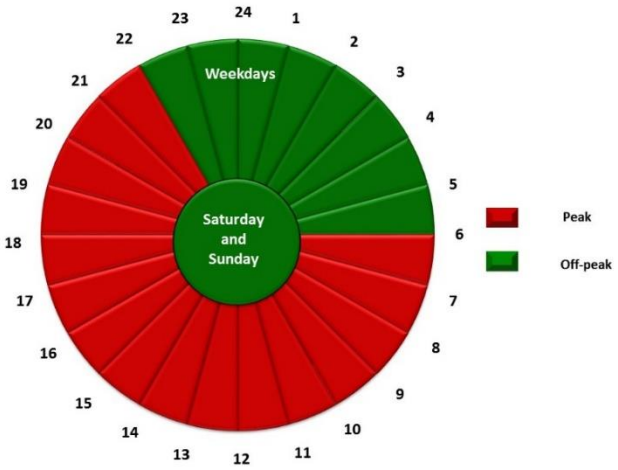

Figure 1: Nightsave Urban Large, Nightsave Urban Small and Nightsave Rural TOU periods

4. TRANSMISSION ZONES

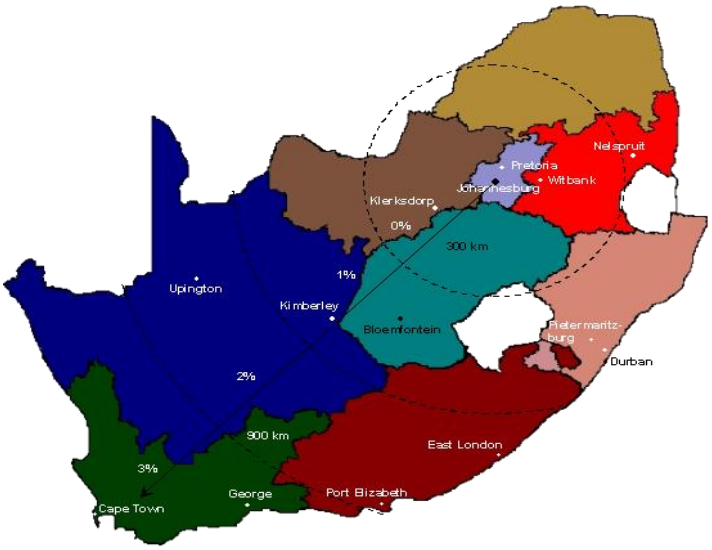

Figure 2: Transmission zones for loads

5. NMD and MEC rules and charges payable in the event of an NMD exceedance

An exceedance of the **NMD** based on the difference between the **maximum demand** and the NMD, will impact the following charges (as applicable); the **Distribution network capacity charge[2], the network capacity charge*,** the **Transmission network charge** and the **urban low voltage subsidy charge** for as applicable, the DUoS charges, the TUoS charges and the Ruraflex, Ruraflex Gen, Nightsave Rural, Megaflex, Megaflex Gen, Miniflex, Nightsave Urban Small and Nightsave Urban Large tariffs.

The amount payable through the **excess network capacity charge[2]**, in the event of an exceedance is calculated on the number of times the **NMD** is exceeded by the **maximum demand** multiplied by the portion of the maximum demand exceeding the **NMD** multiplied by the sum of the **Distribution network capacity charge[2]** and the **Transmission network charge** (or for Miniflex and Ruraflex the **network capacity charge[2]**) and if applicable, the **urban low voltage subsidy charge** for the respective tariffs.

5.1. Charges applicable for exceedance of the MEC[1] rules

These rules are in the process of being revised by Nersa. Please refer to the Eskom website (www.eskom.co.za/tariffs) for the latest version of the rules.

[1] Eskom submitted to NERSA an amendment to the NMD rules to include the MEC rules. Once this decided on by NERSA, any rules associated with the MEC will apply.
[2] Note that any reference in the NMD rules to "the network access charge" must be replaced with "the network capacity charge" and to "the excess network access charge" must be replaced with "the excess network capacity charge".

6. PUBLIC HOLIDAYS

The table below indicates the treatment of public holidays for the Nightsave (Urban Large & Small), WEPS, Megaflex, Megaflex Gen and Miniflex tariffs for the period 1 April 2023 to until 30 June 2024. The relevant seasonally differentiated energy charges, energy demand charges and network demand charges will be applicable on these days. Any unexpectedly announced public holiday not listed below will be treated as the day of the week on which it falls.

- The following public holidays will always be treated as a Sunday for Miniflex, Megaflex, Megaflex Gen and WEPS tariffs; New Year's Day, Good Friday, Family Day, Christmas Day and Day of Goodwill. All other days will be treated as a Saturday unless it falls on a Sunday in which case it will be treated as a Sunday.
- For Nightsave Urban Large and Small, all public holidays will be treated as a Sunday.
- All public holidays for the Nightsave Rural, Ruraflex Ruraflex Gen and Homeflex tariffs will be treated as the day of the week on which it falls.

Date	**Day**	**Actual day of the week**	**TOU day treated as**	
			Nightsave Urban Large Nightsave Urban Small	**Megaflex, Miniflex, WEPS, Megaflex Gen**
07 April 2023	Good Friday	Friday	Sunday	Sunday
10 April 2023	Family Day	Monday	Sunday	Sunday
27 April 2023	Freedom Day	Thursday	Sunday	Saturday
1 May 2023	Workers Day	Monday	Sunday	Saturday
16 June 2023	Youth Day	Friday	Sunday	Saturday
9 August 2023	National Women's Day	Wednesday	Sunday	Saturday
24 September 2023	Heritage Day	Sunday	Sunday	Sunday
25 September 2023	Public Holiday	Monday	Sunday	Saturday
16 December 2023	Day of Reconciliation	Saturday	Sunday	Saturday
25 December 2023	Christmas Day	Monday	Sunday	Sunday
26 December 2023	Day of Goodwill	Tuesday	Sunday	Sunday
1 January 2024	New Year's Day	Monday	Sunday	Sunday
21 March 2024	Human Rights Day	Thursday	Sunday	Saturday
29 March 2024	Good Friday	Friday	Sunday	Sunday
01 April 2024	Family Day	Monday	Sunday	Sunday
27 April 2024	Freedom Day	Saturday	Sunday	Saturday
1 May 2024	Worker's Day	Wednesday	Sunday	Saturday
16 June 2024	Youth Day	Sunday	Sunday	Sunday

17 June 2024	Public Holiday	Monday	Sunday	Saturday

7. Value-added tax (VAT)

The standard prices as specified in this Schedule include value-added tax (VAT) at the current prescribed tax rate of 15%. In cases of electricity supplies where the said tax is not applicable or partly or wholly exempt, the customer concerned will be informed in writing of the effective prices payable.

The charges and rates excluding VAT are also shown as these are used in the monthly electricity account to calculate the individual tariff charges before VAT is added on. This is done for the convenience of the customer so as to facilitate the claiming of input tax where applicable and to allow for part exemptions and zero rating.

8. CHARGES PAYABLE MONTHLY

All electricity accounts payable by a customer in terms of this Schedule shall be rendered monthly by Eskom and shall be payable monthly in accordance with the provisions of the electricity supply agreement. If, in terms of the electricity supply agreement, meter readings are made at three-monthly intervals, Eskom shall render provisional accounts for the months in which no meter reading is made, based upon the monthly consumption in the previous three-monthly period or upon an estimated amount, and a final account, incorporating an adjustment of the provisional accounts, based upon the actual consumption for the period.

If the commencing date or the termination date of any supply is such that the supply was available for a portion of a month then the monthly charges payable in terms of this Schedule shall be calculated pro rata to the portion of a month of 30 (thirty) days during which the supply was available.

In addition to the charges payable in terms of this Schedule, a connection charge and/or standard charges/fees may be raised for costs not recovered through the tariff charges for the provision of new or additional capacity, or for additional services rendered to the customer.

9. STANDARD FEES/CHARGES FOR SERVICES RENDERED

In addition to the standard tariff charges set out in this schedule, Eskom may raise additional standard fees/charges for direct services rendered to a customer s e.g. the provision of service mains, the installation of equipment in the customer's substation, for the taking of any special meter readings, for reconnection of the supply after disconnection (i) either at the request of the customer or (ii) caused by the customer in failure to carry out its obligations, and for special/additional work done for the customer by Eskom. Refer to www.eskom.co.za/tariffs for the list of standard/charges/fees applicable.

10. NIGHTSAVE URBAN SMALL CHARACTERISTICS

Electricity tariff suitable for high load factor Urban$_p$ customers with an NMD from 25 kVA to 1 MVA and without grid-tied generation[1], with the following charges:

- seasonally differentiated c/kWh **active energy charges** including losses based on the voltage of the supply and the **Transmission zone;**
- seasonally differentiated R/kVA **energy demand charges** based on the voltage of the supply, the **transmission zone** and charged on the **chargeable demand** in **peak** periods;
- the treatment of **public holidays** for the raising of the **energy demand charge** and the **network demand charge**;
- a R/kVA **Transmission network charge** based on the voltage of the supply, the **Transmission zone** and charged on the **annual utilised capacity** measured at the **POD** applicable during all time periods;
- a R/kVA **Distribution network capacity charge** based on the voltage of the supply and the **annual utilised capacity** measured at the **POD** applicable during all time periods;
- a R/kVA **Distribution network demand charge** based on the voltage of the supply and the **chargeable demand** measured at the **POD** applicable during **peak** periods only;
- a R/kVA **urban low voltage subsidy charge** applicable to $\geq$ 66 kV supplies based on the voltage of the supply and charged on the **annual utilised capacity** measured at the **POD** applicable during all time periods;
- a c/kWh **ancillary service charge** based on the voltage of the supply applicable during all time periods;
- a R/**Account**/day **service charge** based on the sum of the **monthly utilised capacity(s) of each POD linked to an account**;
- a R/**POD**/day **administration charge** based on the **monthly utilised capacity** of each **POD** linked to an **account;**
- a c/kWh **electrification and rural network subsidy charge** applied to the total active energy measured at the **POD** in the month;

- a c/kWh **affordability subsidy charg**e applied to the total active energy purchased from Eskom at the **POD** in the month – applicable to **non-local authority** tariffs only; and
- an **excess network capacity charge** shall be payable in the event of an **NMD** exceedance in accordance with the **NMD rules** for the relevant tariff.

[1] **For grid-tied generation a TOU tariff is mandatory**

11. RATES:

Nightsave Urban *Small* – Non-local Authority

Transmission zone	Voltage	Active energy charge [c/kWh]				Energy demand charge [R/kVA/m]				Transmission network charges [R/kVA/m]	
		High demand season [Jun - Aug]		Low demand season [Sep - May]		High demand season [Jun - Aug]		Low demand season [Sep - May]			
			VAT incl		*VAT incl*		*VAT incl*		*VAT incl*		*VAT incl*
≤ 300km	< 500V	**134.06**	*154.17*	**104.21**	*119.84*	**R 286.47**	*R 329.44*	**R 36.92**	*R 42.46*	**R 15.53**	*R 17.86*
	≥ 500V & < 66kV	**126.94**	*145.98*	**99.08**	*113.94*	**R 277.25**	*R 318.84*	**R 35.68**	*R 41.03*	**R 14.19**	*R 16.32*
	≥ 66kV & ≤ 132kV	**126.01**	*144.91*	**97.90**	*112.59*	**R 267.05**	*R 307.11*	**R 34.35**	*R 39.50*	**R 13.81**	*R 15.88*
	> 132kV*	**117.87**	*135.55*	**91.65**	*105.40*	**R 257.71**	*R 296.37*	**R 33.15**	*R 38.12*	**R 17.47**	*R 20.09*
> 300km and ≤ 600km	< 500V	**135.85**	*156.23*	**105.36**	*121.16*	**R 289.41**	*R 332.82*	**R 37.22**	*R 42.80*	**R 15.64**	*R 17.99*
	≥ 500V & < 66kV	**129.61**	*149.05*	**101.11**	*116.28*	**R 280.03**	*R 322.03*	**R 36.03**	*R 41.43*	**R 14.32**	*R 16.47*
	≥ 66kV & ≤ 132kV	**128.65**	*147.95*	**99.89**	*114.87*	**R 269.80**	*R 310.27*	**R 34.71**	*R 39.92*	**R 13.92**	*R 16.01*
	> 132kV*	**120.36**	*138.41*	**93.52**	*107.55*	**R 260.28**	*R 299.32*	**R 33.48**	*R 38.50*	**R 17.62**	*R 20.26*
> 600km and ≤ 900km	< 500V	**137.11**	*157.68*	**106.38**	*122.34*	**R 292.23**	*R 336.06*	**R 37.56**	*R 43.19*	**R 15.82**	*R 18.19*
	≥ 500V & < 66kV	**130.89**	*150.52*	**102.16**	*117.48*	**R 282.90**	*R 325.34*	**R 36.39**	*R 41.85*	**R 14.45**	*R 16.62*
	≥ 66kV & ≤ 132kV	**129.90**	*149.39*	**100.88**	*116.01*	**R 272.53**	*R 313.41*	**R 35.06**	*R 40.32*	**R 14.00**	*R 16.10*
	> 132kV*	**121.53**	*139.76*	**94.48**	*108.65*	**R 262.85**	*R 302.28*	**R 33.82**	*R 38.89*	**R 17.88**	*R 20.56*
> 900km	< 500V	**138.58**	*159.37*	**107.45**	*123.57*	**R 295.24**	*R 339.53*	**R 37.97**	*R 43.67*	**R 15.92**	*R 18.31*
	≥ 500V & < 66kV	**132.16**	*151.98*	**103.14**	*118.61*	**R 285.67**	*R 328.52*	**R 36.77**	*R 42.29*	**R 14.62**	*R 16.81*
	≥ 66kV & ≤ 132kV	**131.25**	*150.94*	**101.86**	*117.14*	**R 275.29**	*R 316.58*	**R 35.44**	*R 40.76*	**R 14.13**	*R 16.25*
	> 132kV*	**122.83**	*141.25*	**95.51**	*109.84*	**R 265.61**	*R 305.45*	**R 34.21**	*R 39.34*	**R 18.01**	*R 20.71*

* 132 kV or Transmission connected

Distribution network charges						
Voltage	Network capacity charge [R/kVA/m]		Network demand charge [R/kVA/m]		Urban low voltage subsidy charge [R/kVA/m]	
		VAT incl		*VAT incl*		*VAT incl*
< 500V	**R 30.86**	*R 35.49*	**R 58.51**	*R 67.29*	**R 0.00**	*R 0.00*
≥ 500V & < 66kV	**R 28.30**	*R 32.55*	**R 53.68**	*R 61.73*	**R 0.00**	*R 0.00*
≥ 66kV & ≤ 132kV	**R 10.11**	*R 11.63*	**R 18.71**	*R 21.52*	**R 24.93**	*R 28.67*
> 132kV / Transmission connected	**R 0.00**	*R 0.00*	**R 0.00**	*R 0.00*	**R 24.93**	*R 28.67*

Voltage	Ancillary service charge [c/kWh]	
		VAT incl
< 500V	**0.71**	*0.82*
≥ 500V & < 66kV	**0.70**	*0.81*
≥ 66kV & ≤ 132kV	**0.68**	*0.78*
> 132kV*	**0.63**	*0.72*

* 132 kV or Transmission connected

Customer categories	Service charge [R/account/day]		Administration charge [R/POD/day]	
		VAT incl		*VAT incl*
≤ 100 kVA	**R 25.21**	*R 28.99*	**R 5.54**	*R 6.37*
> 100 kVA & ≤ 500 kVA	**R 115.14**	*R 132.41*	**R 32.30**	*R 37.15*
> 500 kVA & ≤ 1 MVA	**R 354.25**	*R 407.39*	**R 64.12**	*R 73.74*
Key customers	**R 6 942.01**	*R 7 983.31*	**R 221.70**	*R 254.96*

Electrification and rural network subsidy charge [c/kWh]		Affordability subsidy charge [c/kWh] Only payable by non-local authority tariffs	
	VAT incl		*VAT incl*
13.80	*15.87*	**7.37**	*8.48*

TECHNICAL DETAILS

1.1	Date of request for Budget Quote	N/A
1.2	Location of the Electrical Installation	PTN 178 AND RE 180 RIVONIA BOULEVARD, EDENBURG
1.3	Cost Estimate Letter reference number	N/A
1.4	Date of Cost Estimate Letter	N/A
1.5	Date of Budget Quote	N/A
1.6	Point of Delivery	178/RIVONIA/BLVD/EDENBURG
1.7	Notified Maximum Demand	315kVA
1.8	Voltage level of Supply	400/ 230 Volts

FINANCIAL DETAILS

A. TARIFF

Table 1		
1.1	Tariff applicable	**Nightsave Urban Small**
1.2	Minimum Liability Period	3 Months

B. SUMMARY OF THE CONNECTION CHARGE ESTIMATES AND GUARANTEES

		Excl VAT	**Incl VAT**
Cost Estimate Fee		R 0.00	R 0.00
Distribution Quotation Fee		R 0.00	R 0.00
Transmission Quotation Fee		R 0.00	R 0.00
Connection Charge Estimate			
Estimated Distribution Standard Connection Charge		R 0.00	R 0.00
Estimated Distribution Premium Connection Charge		R 0.00	R 0.00
Estimated Transmission Standard Connection Charge		R 0.00	R 0.00
Estimated Transmission Premium Connection Charge		R 0.00	R 0.00
Estimated costs of Monopoly Works		R 0.00	R 0.00
Completion Date			
Connection Charge Costs			
Total Distribution Standard Connection Charge		R 0.00	R 0.00
Total Distribution Premium Connection Charge		R 0.00	R 0.00
Total Transmission Standard Connection Charge		R 0.00	R 0.00
Total Transmission Premium Connection Charge		R 0.00	R 0.00
Costs of Monopoly Works		R 0.00	R 0.00
MONTHLY CONNECTION CHARGES	**Expiry Date/Number of months**	Amount (excl. vat)	Amount (incl. vat)
Monthly Standard Connection Charge		R 0.00	R 0.00
Monthly Premium Connection Charge		R 0.00	R 0.00
Monthly Residual Connection Charge		R 0.00	R 0.00
GUARANTEES			
Existing Electricity Accounts Guarantee Amount			R 92 616.99
Early Termination Guarantee Amount			R 0,00
Irrecoverable Cost Guarantee Amount			R 0,00

NOTIFICATION OF DEMAND OR CHANGES TO NOTIFIED MAXIMUM DEMAND (NMD) RULES

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These rules (Rev 02) form part of Eskom's schedule of standard prices, which in turn forms part of Eskom's standard terms and conditions for the supply of electricity, as amended from time to time.

Notified maximum demand

1.1. Initial selection of notified maximum demand (NMD)

1.1.1. The *NMD* will be the maximum capacity in kVA, as measured over a 30-minute integrating period, per point of delivery/premise *(POD)* that the customer will contract for Eskom to make available during all time periods. This is the maximum capacity that will then be made available for the customer's use under system normal conditions. The capacity so notified excludes any additional capacity that the customer may be permitted to use in terms of 1.1.5 below.

1.1.2. The *NMD* is the capacity reserved by the customer to provide for the maximum demand requirements in all time periods. The *NMD* should not, however, be exceeded unless agreed to by Eskom.

1.1.3. An excess network access charge will be levied for exceeding the *NMD* once the *actual maximum demand* is greater than the NMD, after allowing for two exceedances that are within a 5% deadband, over a rolling 12 months. To avoid the excess network access charges, a request should be submitted to Eskom to have the *NMD* increased. However, it is important to note that, Eskom cannot and does not guarantee the security of supply and therefore an increase in NMD is subject to capacity availability. Refer to Clause 2 and Clause 3 for the terms and conditions associated with exceedance of the NMD.

1.1.4. Where a customer has multiple points of supply connected to a point of delivery (POD), the NMD will be the sum of the maximum demands for all of the points of supply connected to the POD. The sum of the maximum demands may be determined vectorially.

1.1.5. Where customers qualify to receive the benefit of diversity across multiple points of delivery, the customer is required to notify Eskom of the maximum capacity to be provided at each individual POD under normal operating and loading conditions (that is, before load shifting takes place from one POD to another due, for example, to abnormal network conditions or the operational requirements of the customer). Customers who have been

granted the benefit of diversity are permitted, in terms of the rules for diversity benefits, to exceed the NMDs as notified for the different PODs. Under no circumstances may the customer exceed the installed capacity at the different PODs, with due regard for the loads of other customers who may be supplied from the same network. Eskom reserves the right to impose upper loading limits for each POD. The sum of the stated NMDs for all individual PODs receiving the benefit of diversity must be equal to or greater than the simultaneous maximum demand that will be jointly required at all of these PODs. The sum of these demands is determined by arithmetic summation.

Note: Simultaneous maximum demand (SMD) is determined by measuring the actual demand of each POD for each 30-minute integrating period, and adding together the value of the different PODs for each of the 30-minute periods in the month, i.e. the values for all PODs for the first period are added together to determine the sum of the demands for all PODs for that half-hour; the values for the second period are added together and so forth for all of the half-hourly periods in the month. The highest value of all of these 30-minute periods is the simultaneous maximum demand, which may never exceed the sum of the NMDs.

1.2. Notification of demand for customers with own generation, active load control and power factor correction equipment

1.2.1. Customers with their own generation, active load control and power factor correction equipment should cater, within their NMD, for the load increase arising from any credible contingency; and the loss or failure of certain or all of their equipment. The demand notified will be the sum of the normal notified (base) load plus the standby margin required to cater for probable failure or loss of own equipment (refer to Figure 1 below). In the event that the NMD is exceeded, Clause 3.4 will apply.

1.2.2. In the event that a temporary increase in demand is required, Clause 3.2 will apply.

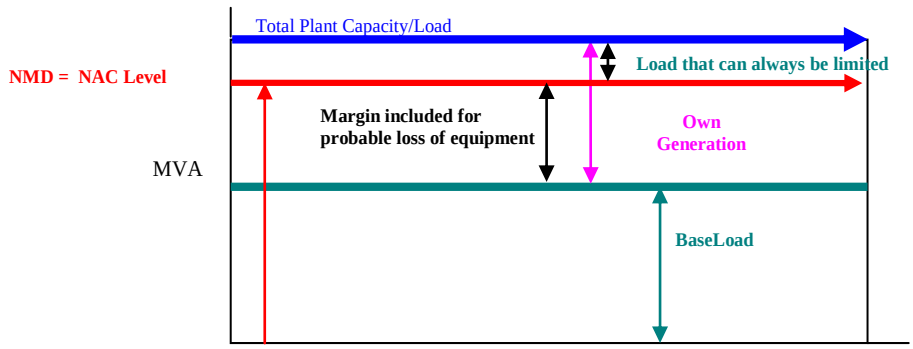

Figure 1: Notification of demand for customers with own generation or active load control

1.3. Points of delivery not supplied under a charged demand tariff

1.3.1. The NMD will be based on the measured maximum demand, or if demand is not measured, on the equivalent demand that is based on the installed circuit breaker size.

2. Utilised capacity (UC) applicable to network access charge (NAC)

2.1. The network access charge (NAC) will be based on the utilised capacity. The utilised capacity is determined as the higher of the following:

a) The *NMD*,
b) The *actual maximum demand (MD)* measured in kVA in all time periods during the billing month, i.e. the *monthly utilised capacity (MUC)*, which therefore changes on a monthly basis depending on the customer's actual usage.
c) The *annual utilised capacity (AUC)*. The *AUC* is the:
   i. highest of the *maximum recorded demand* (b), outside of the allowable 5% deadband exceeding the *NMD*,
   ii. or the contracted *NMD*,
   iii. and will apply for the current month and the next 11 months.

Any exceedances are subject to the following:
If b) is higher than a):

d) the AUC will be reset (refer to Clause 2.1c) as the higher of the actual recorded demand registered during that billing month or the previously set AUC, except for the first two events or any two events that are within 5% of the NMD, over the preceding rolling 12 months.
   i. For the two events referred to in d) above, the NAC for the month will be based on the actual maximum demand for that month.

e) From the third event or any other event where the NMD is exceeded by more than 5%, the AUC is reset (refer to Clause 2.1c) as the higher of the actual recorded demand registered during that billing month or the previously set AUC. Note that the AUC will not be set to a lower value during the 12-month period.

f) On the third event or for any other event where the NMD is exceeded by greater than 5%, the NAC will be charged on the MUC exceeding the NMD and for every subsequent exceedance within the rolling 12 months (starting from the first event), at; 1 x NAC for the first event, 2 x NAC for the second event, 3 x NAC for the third event, 4 x network charge for the fourth event, 5 x network charge for the fifth event, etc., until the demand is either managed or the NMD is upgraded. This means that for any event where the NMD is exceeded, the NAC will be charged, based on the AUC and the portion of the demand exceeding the NMD, the R/kVA NAC and a factor depending on the event number.

Amount exceeded x R/kVA x event number = Excess NAC.

g) Any payments made for the demand exceeding the NMD shall not be deemed as an agreement by Eskom to make such higher demand available to a customer. Such agreement will be subject to negotiating new terms and conditions to modify the connection and amend the existing electricity supply agreement. Refer to Clause 3.1 for the conditions associated with an increase in demand.

2.2. Customers receiving the benefit of diversity

2.2.1. Where multiple PODs receive the benefit of diversity, the NAC will be payable based on the sum of the NMDs of all PODs, provided that the simultaneous maximum demand of all PODs does not exceed the sum of the NMDs. Where the simultaneous maximum demand exceeds the sum of the NMDs, this will be treated as an NMD exceedance in accordance with the above-stated principles. Therefore, the NAC will be calculated where the SMD is greater than the NMD.

2.2.2. This means that the NAC portion for diversity will be calculated differently.

The network access charge per POD is based on the greater of the NMD per POD and the apportioned NMD for the same POD during the current month and preceding 11 months. For those PODs receiving diversity benefit, the monthly apportioned NMD per POD is calculated as follows:

POD apportioned NMD = Total SMD x POD NMD ÷ Total NMD

3. Changes to NMD (not UC)

3.1. Customer requests an increase in NMD

3.1.1. A request for an increase in NMD by a customer may be considered as a request for a modification of the connection and amendment to the contract. Eskom has the right to evaluate such a modification before agreeing to increase the capacity (NMD) at the request of the customer.

3.1.2. Where a customer requests an increase in NMD at a point of delivery/premise, the request should be made in writing to Eskom, after which Eskom will prepare a quotation for the new terms and conditions applicable, including the connection charges payable, and will be treated in terms of the conditions of the supply contract between Eskom and the customer.

3.1.3. A connection charge will take into account the following:

a) Additional dedicated costs.
b) Upstream sharing charges.

3.1.4. The provision of the new NMD is subject to the agreement by the parties of the new terms and conditions and where applicable, to any required work being completed by Eskom.

3.1.5. The new NMD shall apply from the date that the additional capacity is made available by Eskom and the customer shall not be entitled to the additional capacity until the agreed date.
3.1.6. The provision of the new NMD will be subject to the minimum contract period agreed upon between Eskom and the customer.
3.1.7. For temporary increases in NMD, refer to Clause 3.2.

3.2. Temporary increase in NMD agreed to in advance

3.2.1. Temporary increases in NMD agreed to in advance, may be made available by Eskom to the customer in respect of the relevant point of delivery/premise to cover specific, short-term needs such as the commissioning of new plant, or the re-commissioning or refurbishment of existing plant prior to returning it to full service.
3.2.2. Temporary increases in NMD will not be granted for normal operational requirements, seasonal usage or any other usage of a cyclical or repetitive nature.
3.2.3. Temporary increases in NMD will be subject to obtaining prior written agreement from Eskom. Such agreement is conditional on the availability of the necessary network and generation capacity and on the increase being of a temporary nature.
3.2.4. Temporary increases in NMD will be subject to a minimum contract period as agreed between Eskom and the customer.

3.3. Reduction in NMD

3.3.1. Where a customer requires a reduction in NMD at a POD for any of the WEPS, Miniflex, Megaflex and Nightsave (Urban) tariffs or where TUoS / DUoS charges are applicable, written notice of 12 months is normally required. This notice period applies also in the event of a tariff conversion between any of the above-mentioned tariffs. If the customer can motivate a downgrade sooner, such as for the reasons provided in Clause 3.3.2, permission for a shorter notice period with a minimum of 3 months will not be unreasonably withheld.
3.3.2. The reduction of NMD occurs with immediate effect after the notice period has expired.
3.3.3. A reduction in NMD to a value that is below the previous 12 months' highest recorded demand in all time periods will not be allowed, unless motivated by any of the following: change in operations, closure of plant; installation by the customer of` load management equipment, the implementation of demand side management initiatives or where demand exemptions have been granted.
3.3.4. For all other standard tariffs (Nightsave Rural, Ruraflex, Landrate, Businessrate, Homepower, etc.) the current notice periods contained in the customers' contracts shall apply.
3.3.5. Eskom's approval of a reduced NMD is subject to Clause 3.3.1 above and acceptance by the customer of any revised conditions or connection charges as referred to in Clause 3.3.7.
3.3.6. The reduced NMD will be applied from the first reading date following the normal 12-month notice period, or any lesser notice period that Eskom agreed to, and the annual utilised capacity (UC) will be reset to the new lower value.
3.3.7. If, in the 12 months following any reduction of NMD under Clause 3.3.1, the reduced NMD is exceeded, the new demand level recorded will become the annual UC where the new demand exceeds the allowable 5% deadband. This will apply from the time of the reduction (i.e. it will be backdated with interest but only for those events exceeding the NMD) and the customer will be rebilled accordingly, including all excess network access charges stated in Clause 2. This shall not apply to temporary increases in demand negotiated under Clause 3.2.
3.3.8. A connection charge may be required where:

a) equipment must be removed;
b) upstream sharing charges were part of previous connection charge(s);
c) an upfront capital allowance was provided, based on a higher capacity as part of previous connection charge(s).

3.3.9. Temporary reductions in NMD will not be allowed.

3.4. Changes following exceedance of NMD

In the event that the metered maximum demand in a billing period exceeds the NMD for that customer in respect of the relevant point of delivery/premise, or where the simultaneous

maximum demand of PODs that receive the benefit of diversity exceeds the sum of the NMDs, the following will apply:

3.4.1. Any exceedance of the NMD shall constitute a breach of Eskom's electricity supply contract and Eskom shall, at its election, be entitled to cancel the supply contract (subject to the customer's right to negotiate the conclusion of a new contract with Eskom in which new contract the customer's NMD shall be restated, alternatively, to apply the remedies available to Eskom under any conservation and/or rationing programme or scheme which may be introduced, adopted or implemented by the National Energy Regulator, the Department of Minerals and Energy or any other regulatory body from time to time (unless Eskom is obliged under either of such programmes to implement a specified remedy in response to the aforesaid breach). Also refer to Clause 2.1(f).

3.4.2. If the customer does not conclude a new contract with Eskom, Eskom reserves the right to remove any equipment surplus to meeting the contracted NMD or to provide this capacity for the use of customers who have contracted for the capacity. Also refer to Clause 2.1(f).

3.4.3. The tariff charges will be raised in terms of Clause 2 unless an exemption is requested and approved as described in Clause 4. The charges will be waived if the capacity is allocated elsewhere in terms of Clause 3.4.1 and the customer limits its demand to the contractual NMD.

3.4.4. Where the capacity of the Eskom network is inadequate to make supply available at a higher level on a continuous basis, the new demand level will apply only for the billing period in which it was established, pending the upgrading of the local network and renegotiation of the NMD. Thereafter the NMD will be limited to the available capacity of the network, as determined by Eskom, by suitable load-limiting equipment installed by the customer. The customer will be liable for all associated costs if the actual demand is still exceeded.

3.4.5. Under times of overall system (generation and/or network) constraints, Eskom may request the customer in breach of contract to remain within the contractual NMD. If the customer fails to heed the request, Eskom reserves the right to take appropriate action to ensure system integrity and to supply customers adequately who are not in breach of their contracts.

4. Exemption for unforeseen increases in utilised capacity or chargeable demand

Exemptions for exceeding the annual UC and/or chargeable demand due to unforeseen demand overshoots (including faults) caused by a failure in normal operations and/or technical functioning of a customer's load, or as a result of *force majeure*, will apply as follows. (Note: temporary increases agreed to in advance are covered in Clause 3.2.)

4.1. Applications for exemptions

The customer is required to submit a fully motivated written application. If approved, an exemption will be provided on the terms and conditions set by Eskom. Exemptions will be given under certain circumstances as detailed in Clauses 4.2 and 4.3. These exemptions will, however, be recorded as events in the customer's history and will be considered when establishing a new UC for the next 12-month period.

4.2. Exemptions for demand overshoots attributable to Eskom and *force majeure*

In all instances where a customer's demand overshoot is caused by an Eskom electricity supply event or is due to *force majeure* (as defined in the supply agreement), the actual measured and chargeable demand will be reset to a value that would have prevailed had the event giving rise to the overshoot not taken place. This will be done within the month it occurred and the customer will pay only the demand-related charges on the demand that would have applied had the event not taken place. Neither the UC nor the NMD will be reset to the higher (actual measured) value.

4.3. Exemptions for demand overshoots attributable to demand side management (DSM) strategies or demand market participation (DMP) products

4.3.1. Demand overshoots above the normal NMD due to a load response from Eskom-initiated DSM strategies or DMP, will be exempted.

4.3.2. For demand overshoots attributable to specific short-term requirements such as commissioning refer to Clause 3.2, Temporary increase in NMD agreed to in advance.

4.4. Refusal to grant demand exemption/temporary increase in demand

4.4.1. Where the customer's operation is responsible for the event leading to the NMD being exceeded, exemption will not be granted. Clause 2 allows for two exceedances within the allowable 5% deadband in a rolling 12-month period in the NMD, before the UC will be reset.

4.4.2. Typical events causing a demand which will not receive exemption, include short-term fluctuations in demand, failure or subsequent return to service of any part of the customer's plant or load control systems, including power factor correction failure, failure of own generation equipment or human error, and operational decisions of the customer not agreed to in writing (including commissioning) and in advance.

5. TERMS AND CONDITIONS OF CONTRACTS

These rules shall form part of all electricity supply agreements concluded by Eskom.

DEFINITIONS

Chargeable demand	The highest average demand as measured in kVA in a 30-minute integrating period, per point of delivery/premise during the chargeable time periods for the applicable tariff. The network demand charge is recovered on the chargeable demand.
Capital allowance	The capital allowance is the contribution to shared or dedicated assets included in the future tariff rates.
Dedicated equipment	Electricity assets installed for the sole usage of the customer, i.e. unlikely to be shared by other customers.
Demand market participation (DMP) product	An Eskom initiative through which customers (direct and indirect), contract to make capacity available for reduction upon instruction from the Eskom System Operator, in exchange for financial benefits.
Demand side management (DSM)	Technology or programme that encourages customers to modify their patterns of electricity usage including timing and level of consumption. This includes conservation, interruptibility and load shifting.
Non-simultaneous Maximum Demand	Highest averaged demand measured in kVA or kW during any integrating period within a designated billing period of an individual POD.
Normal notified load	The maximum load that the customer expects to purchase from Eskom, excluding all active load control or own generation.
Notice period	The period required as per the electricity supply agreement for cancellation/changes to the contract
Power Conservation Programme (PCP)	National programme is to address the current energy crisis. The PCP will consist of the Energy Conservation Scheme, the rules and processes for managing load and consumption growth and changes to tariff structures and electricity prices.
PCP Energy Conservation Scheme	Is the optimum tool to achieve a fair, quick but sustainable reduction in electricity consumption in South Africa. The Scheme will oblige all consumers to make a contribution to conserving energy through making energy efficient consumption decisions.
Probable contingency	The reasonable probability of an event taking place
Temporary or short term	A supply or capacity that is generally required for less than one year
Upstream sharing charges	These are the national average connection charges raised, apart from the tariff rates, as a contribution to the sharing of upstream costs of networks (line and capacity).

Refer to Eskom's Tariff and Charges book at www.eskom.co.za/tariffs for definitions not listed above and more information on the NMD rules.

ABBREVIATIONS

AUC	Annual Utilised Capacity
DSM	Demand Side Management
DMP	Demand Market Participation
DUoS	Distribution Use of System Charges
kVA	Kilo Volts Ampere
kW	Kilo Watt
MUC	Monthly Utilised Capacity
NAC	Network Access Charge
NDC	Network Demand Charge
NMD	Notified Maximum Demand
PCP	Power conservation programme
POD	Point of Delivery
SMD	Simultaneous Maximum Demand
UC	Utilised Capacity
TOU	Time-of-use
TUoS	Transmission Use of Systems Charges
WEPS	Wholesale Electricity Pricing System

Annexure 'F'

ESKOM CONNECTION EQUIPMENT

PART A: STANDARD EQUIPMENT

A.1 Standard Equipment on the Distribution System

A.2 Standard Equipment on the Transmission System

PART B: PREMIUM EQUIPMENT

B.1 Premium Equipment on the Distribution System

B.2 Premium Equipment on the Transmission System

CUSTOMER CONNECTION EQUIPMENT

Annexure 'H'

ENERGY AND LOAD FORECAST

Eskom Account Name	**RIVONIA GATE BODY CORPORATE**
Eskom Account Number	**5477514210**
Eskom POD/Substation Name/s	**178/RIVONIA/BLVD/EDENBURG**
Eskom Region/Province	**GAUTENG**
Eskom Customer Executive	**THANDUXOLO MBHELE**

Electrical Energy - Consumption (MWh)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
2024													
2025													
2026													
2027													
2028													
2029													
2030													

Electrical Power – Maximum Demand (MVA)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2024												
2025												
2026												
2027												
2028												
2029												
2030												

Please provide 10 years' forecast if available.

Estimated operational life remaining (in years from today) of the mine/plant/operations at this supply point [ ]

NB: This forecast has to be updated

- every six months and
- within 20 days of becoming aware that the consumption, over any 3 month or longer period, will vary by 5% or more from this forecast.

Customer Representative	Eskom Customer Executive
_____	_____
Name:	**Thanduxolo Mbhele**
Designation:	**Customer Executive**
Date_____	**Date**_____

Annexure 'I'

QUALITY OF SUPPLY SPECIFICATION

1 QUALITY OF SUPPLY

ESKOM will use its reasonable endeavours to furnish the CUSTOMER with a reliable network for the supply of electricity to the CUSTOMER's Electrical Installation. However, it is not practicable for ESKOM to guarantee that the continuity and voltage quality at the Point(s) of Supply will always be maintained under all contingencies. It is therefore incumbent on the CUSTOMER to take adequate measures to protect its business and Electrical Installation against any losses and/or damage arising from frequency deviations, loss of supply or supply interruptions, voltage variations (including voltage dips), voltage harmonics, voltage flicker, voltage unbalance, voltage swells and transients, undervoltages and overvoltages at the Point(s) of Supply.

1.1 PLANNED/EMERGENCY INTERRUPTIONS

1.1.1 Notwithstanding the provisions of sub clause 1.3 below, ESKOM shall have the right, for purposes of the efficient operation and extension of ESKOM's Distribution and/or Transmission System and also in emergencies, to temporarily interrupt the supply to the CUSTOMER.

1.1.2 ESKOM shall endeavour as far as is practicable to give the CUSTOMER notification of planned interruptions in accordance with NRS 047.

1.2 FORCED INTERRUPTIONS

1.2.1 ESKOM shall use its reasonable endeavours to minimise the number of forced interruptions that occur on the Transmission and Distribution System.

1.2.2 If required for the design and specification of such plant requirements, specific interruption performance data may be requested by the CUSTOMER from ESKOM, and will be provided by ESKOM where such interruption performance data is available.

1.3 LOAD REDUCTION EVENT

1.3.1 The Parties shall collaborate in determining the portion of the CUSTOMER's load which will be curtailed through ESKOM's load curtailment and/or manual load-shedding and/or under-frequency load-shedding schemes, or by other agreed means, if ESKOM should experience a shortage of generating and/or transmission and/or distribution capacity.

1.4 VOLTAGE DIPS

1.4.1 ESKOM shall use its reasonable endeavours to minimise the number of voltage dips that originate on Transmission and Distribution System or from its other customers.

1.4.2 Characteristic levels of dip performance for South African networks are provided in NRS 048-2. It is incumbent on the CUSTOMER to take these into consideration in the design and specification of the CUSTOMER's Electrical Installation. If required, more specific dip performance data may be requested by the CUSTOMER from ESKOM, and will be provided by ESKOM where such performance data is available.

1.5 VOLTAGE QUALITY

1.5.1 Supply Frequency

1.5.1.1 ESKOM shall supply electricity to the CUSTOMER at the Point of Delivery as a three-phase alternating current at a nominal frequency of 50 Hz (fifty hertz), subject to the maximum frequency deviations as specified in NRS 048-2.

1.5.2 Voltage Magnitude

1.5.2.1 ESKOM shall supply electricity to the CUSTOMER at a voltage equal to the declared voltage as specified in the Agreement.

1.5.2.2 When the supply of electricity is provided at a declared (phase-to-phase) voltage of 500 volts and higher, the percentage by which the supply voltage may differ from the declared voltage, shall be 7,5% (seven comma five per cent) above or below the declared voltage when assessed according to the compliance criteria of NRS 048-2.

1.5.2.3 When the supply of electricity is provided at a declared (phase-to-phase) voltage of less than 500 volts, the percentage by which the supply voltage may differ from the declared voltage shall be 10% (ten per cent) above or below the declared voltage, when assessed according to the compliance criteria of NRS 048-2.

1.5.3 ESKOM shall supply electricity to the CUSTOMER such that the voltage harmonics, voltage unbalance and voltage flicker at the Point of Delivery are in compliance with the levels specified in NRS 048-2.

1.6 MEASUREMENT AND ASSESSMENT OF QUALITY OF SUPPLY

1.6.1 The voltage magnitude, frequency, voltage harmonics, voltage unbalance, voltage flicker and the variation thereof shall be measured, assessed and otherwise determined in accordance with the relevant provisions and the specific criteria for determining compliance with compatibility levels of NRS 048-2.

1.6.2 ESKOM may from time to time monitor any of the quality of supply emissions (including the harmonic voltage emission, the flicker, voltage unbalance and rapid voltage changes) caused by the CUSTOMER's Electrical Installation.

1.7 QUALITY OF SUPPLY COMPLAINTS

1.7.1 ESKOM shall manage any complaints related to voltage disturbances and interruptions in terms of its complaints management procedures, which are in compliance with the regulatory requirements pursuant to ESKOM's licences issued by NERSA. In terms of these requirements:

1.7.1.1 It is incumbent on the CUSTOMER to provide ESKOM with relevant information in writing related to the complaint. This information shall include for each incident relating to the complaint, at least: the date, the time, and the effect on the CUSTOMER's Electrical Installation. ESKOM shall keep record of such complaints;

1.7.1.2 ESKOM shall investigate the complaint and provide the CUSTOMER with information on the cause of such problems (if such cause is known or can be identified) and where appropriate, what remedial action, if any, it intends taking;

1.7.1.3 Should the CUSTOMER be dissatisfied with the manner in which the complaint is dealt with by ESKOM, it is incumbent on the CUSTOMER to send ESKOM a non-conformance report, in writing, detailing the reason for the non-conformance. It is an obligation on ESKOM in terms of the above regulatory requirements to report such non-conformance reports to NERSA on an annual basis;

1.7.1.4 Should the CUSTOMER not be satisfied with ESKOM's response to the non-conformance report sent to ESKOM, the CUSTOMER may choose to lodge a formal complaint with NERSA and, in connection with such complaint, the provisions of Clause 32 of this Agreement below shall not apply to any information provided to NERSA in connection with such complaint or in connection with any regulatory or other legal proceedings that arise in connection with such complaint; and

1.7.1.5 When lodging a complaint with NERSA, it should be noted that it is incumbent on the CUSTOMER to demonstrate to NERSA that reasonable measures were taken to protect its business and its Electrical Installation against losses and/or damage caused by voltage disturbances or interruptions.

1.7.2 The CUSTOMER shall keep record of all voltage dips originating from the CUSTOMER's Electrical Installation and the cause of the fault(s). If requested by ESKOM, the CUSTOMER shall be obliged to provide ESKOM with information pertaining to the cause of such voltage dips and where appropriate, what remedial action, it intends taking.

Initial: _____

2 USE OF ELECTRICITY

2.1 The CUSTOMER shall so use the supply as not to interfere with an efficient and economical supply to other customers of ESKOM, and shall at all times ensure that any effects on the supply voltage caused by the CUSTOMER's load shall not exceed the limits specified in Table 1, unless otherwise agreed to in writing between the parties.

Table 1:

Unbalance	**0,3% (3-phase supplies)**
Flicker (Pst)	**0,36**
Harmonics (THD)	**1%**
Rapid voltage changes: **r = no. of changes per hour** **r<1** **1 < r ≤ 10** **10 < r ≤ 100** **100 < r ≤ 1000**	 **Magnitude (%)** **4** **3** **2** **1,25**

Initial:

3 REMEDIAL ACTION

3.1 The quality of the voltage supplied to the CUSTOMER is affected by events on ESKOM's Transmission / Distribution System and by ESKOM's other customers connected to ESKOM's Transmission / Distribution System. Should circumstances arise where the quality of the voltage is negatively impacted by events or customers such that the voltage is no longer within the range referred to in sub-clause 1.5 of this Annexure, ESKOM will take the appropriate action to remedy the problem as soon as is practicable after it becomes aware of such non-compliance. It is incumbent on the CUSTOMER to take reasonable measures to protect its business and Electrical Installation against losses and / or damage under these circumstances.

3.2 Should the CUSTOMER not comply with any of its obligations under this Annexure, including exceedance of any one of the voltage quality limits specified in Table 1, the CUSTOMER shall take appropriate action to remedy such non-compliance (including, where so requested by ESKOM (acting reasonably) reducing its load and/or installing at its own expense corrective equipment) as soon as is practicable after it becomes aware of such non-compliance.

Eskom	Standard	Technology

Title: **STANDARD FOR NEUTRAL EARTHING OF TRANSMISSION AND DISTRIBUTION NETWORKS**

Unique Identifier: **240-76624507**

Alternative Reference Number: **32-2149**

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		SCOT/SC Chairperson
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SCOT Study Committee Number/Name: **SCOT Protection & Automation**

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Executive summary

This document provides a standard with regard to the neutral earthing of extra-high, high, medium and low voltage electrical networks operated by Eskom Distribution and Eskom Transmission. Customer networks which are connected to Eskom's HV and MV networks shall adhere to this standard as a condition of their connection.

Customer-owned networks in which zero sequence current flows are de-coupled from Eskom's networks via the transformer vector group and/or neutral earthing arrangement are not compelled to comply with this standard. The customer is responsible for selection of an appropriate neutral earthing arrangement on such networks.
This document may be read in conjunction with Distribution Guide SCSAGAAK6 "System Neutral earthing on 44 kV to 88 kV networks" for further information on the HV network neutral earthing philosophy that is prescribed by this standard.

Neutral earthing of Eskom power stations is described in 240-56356396 "Earthing and Lightning Protection Standard" is outside the scope of the present document, except that the requirements for neutral earthing of station transformers (normally owned by Eskom Transmission) is repeated in Section 3.3.1 of the present document.

1. Introduction

This standard was compiled as a result of two main needs:

1) In partial fulfilment of the Eskom Distribution's obligation towards the South African Distribution Code requirements:
   - Network Code Clause 6.4(1): "The Distributor shall advise Customers about the neutral earthing methods used in the Distribution System"; and
   - Network Code Clause 6.4(2): "The method of neutral earthing used on those portions of Customer's installations that are physically connected to the Distribution System shall comply with the Distributor's applicable earthing standards for loads and for embedded generators."

2) Following a number of safety incidents on Eskom's MV networks as a result of incompatible neutral earthing practices.

2. Supporting Clauses

2.1 Scope

This document provides a standard for the neutral earthing of systems to be employed in Eskom Distribution's HV, MV and LV networks and Eskom Transmission's EHV, HV and MV networks. It further describes the standard with regard to the earthing of the neutral points of specific equipment: power transformers and capacitor banks.
The earthing of MV Single Wire Earth Return (SWER) networks is not addressed in this document. This information is included in DSP 34-453 [17].

This document does not address the related topic of protective earthing (i.e. the bonding of metallic equipment, not intended to be energised, to the body of the earth so as to avoid the risk of electrical shock if a person touches a device in which an insulation fault has occurred) except in cases where the topics of neutral earthing and protective earthing overlap. As such, a neutral earth is generally classified as a functional earth: serving a purpose other than for the prevention of electric shock. The earthing of surge arresters is another example of functional earthing, but this is not covered in the present document.

Neutral earthing at Eskom power stations is outside the scope of this document, being provided in Control and Instrumentation document 240-56356396 "Earthing and Lightning Protection Standard". Neutral earthing of station transformers (normally owned by Eskom Transmission) is, however, repeated in the present document.

2.1.1 Purpose

This document serves to specify Eskom's standard regarding neutral earthing practices in Eskom Distribution's HV, MV and LV networks and Eskom Transmissions EHV HV and MV networks. The document serves to formalise practices that have been followed, at least informally, since the 1970's. In some cases (e.g. the neutral earthing standard on 132kV networks, and for MV networks), the standard addresses gaps identified in the previously-documented practices.

2.1.2 Applicability

This document shall apply to Eskom Distribution and Eskom Transmission and where applicable, it shall apply to customer networks connected to such networks.
Customer-owned networks in which zero sequence current flows are de-coupled from Eskom's networks via the transformer vector group and/or neutral earthing arrangement are not compelled to comply with this standard. The customer is responsible for selection of an appropriate neutral earthing arrangement on such networks.

2.2 Normative/Informative References

Parties using this document shall apply the most recent edition of the documents listed in the following paragraphs.

2.2.1 Normative

[1] NRS000, Rationalized user definitions for use in the electricity supply industry
[2] SANS 10142-1, The wiring of premises Part 1: Low-voltage installations
[3] SANS 10200, Neutral earthing in medium voltage industrial power systems
[4] SANS 10292, Earthing of low-voltage (LV) distribution systems
[5] South African Distribution Code (All parts)

2.2.2 Informative

[6] BS 171: 1979, Specification for power transformers
[7] SANS 60076-3, Power transformers Part 3: Insulation levels, dielectric tests and external clearances in air
[8] SCSAGAAK6, System neutral earthing on 44 kV to 88 kV networks
[9] SCSASAAK7 (obsolete), Singlepoint underground supply
[10] SCSASAAK8 (obsolete), Intermediate Voltage Reticulation
[11] SCSASACB6, Medium voltage system earthing practice
[12] 240-56356396, Earthing and Lightning Protection Standard [Generation Control & Instrumentation]
[13] 240-56364479, Shunt capacitor bank protection philosophy
[14] 240-57648848, Specification for combined three-phase Neutral Electromagnetic Couplers (NEC's) with Neutral Earthing Resisters (NER's) and auxiliary power transformers.
[15] 240-65216748, Test procedure for power transformers
[16] 240-68973110, Specification for power transformers rated for 1.25MVA and above and with highest voltage of 2.2kV or above
[17] DSP 34-453, Particular requirements for 19kV Single Wire Earth Return (SWER) overhead reticulation
[18] DST 34-1985, MV and LV distribution system earthing
[19] GL 41-379, Shunt Capacitor Neutral Earthing
[20] Buyer's Guide Drawing D-DT-6212 (HV neutral terminal surge arresters)
[21] Grounding of Power System Neutrals - S.B.Griscom - Electrical Transmission and Distribution System Reference Book, 4th Edition, Westinghouse Electric Corporation
[22] M.G.B. Madonsela, "Earthing practices for medium sized star-star Distribution transformers", 6th Eskom Protection Workshop, November 2009
[23] S.J. van Zyl, "High resistance neutral earthing of MV networks with Embedded Generation", Southern African Power System Protection Conference, Midrand, November 2008

2.3 Definitions

2.3.1 General

Definition	Description
Earthed neutral system or Neutral earthing system	A system in which the neutral is connected to earth, either solidly, or through a resistance or reactance of low enough value to reduce materially transient oscillations and to give a current sufficient for selective earth fault protection. Two types of neutral earthing systems are relevant to this standard
Effectively earthed system	An earthed system in which the phase-to-earth voltages on the unfaulted phases under earth fault conditions are limited to 80% of the normal phase-to- phase voltage. A point on the network is defined as being effectively earthed if the ratios of the Thévenin sequence impedances comply with the following relations under all operating conditions: $\frac{X_0}{X_1} \leq 3$ and $\frac{R_0}{X_1} \leq 1$ where: R_0 = the Thévenin zero sequence resistance X_0 = the Thévenin zero sequence reactance X_1 = the Thévenin positive sequence reactance

Extremely High Voltage	Nominal voltage levels greater than 132kV.
Fully graded insulation	Transformers whose neutral terminals are insulated to such low levels as to require these to be solidly earthed whilst in service.
High Voltage	Nominal voltage levels equal to or greater than 44kV up to and including 132kV.
Intermediate Voltage	When applied in the context of low cost rural distribution and electrification schemes, is a sub set of the MV range where relatively low cost technologies allow for cost effective distribution of relatively light loads over relatively long distances. The loads and distances exceed typical LV system capabilities, however, are generally too small for conventional MV distribution. The voltage range of IV is typically between 1kV and 3.3kV.
Low Voltage	Nominal voltage levels up to and including 1kV.
Medium Voltage	Nominal voltage levels greater than 1kV and less than 44kV.
Neutral Electromagnetic Coupler	A zig-zag neutral (ZN) connected winding used to provide an artificial neutral point in a delta-connected system, capable of passing a specified earth-fault current for a specified time. Also known as a Neutral Earthing Compensator.
Non-uniform insulation of a transformer winding	The insulation of a transformer winding when it has a neutral terminal end for direct or indirect connection to earth, and is designed with a lower insulation level than assigned for the line terminal. Also known as "graded insulation" [BS 171 [6]].
Partially graded insulation	transformers whose neutral terminals may be solidly earthed or left unearthed in service, but which require the protection of a suitably-rated surge arrester in the event of being operated unearthed.
Resistively earthed system	A system in which the neutral is connected to earth through a resistance. A point on the network is defined as being resistively earthed if the ratios of the Thévenin sequence impedances comply with the following relations under all operating conditions: $\frac{R_0}{X_0} \geq 2$ and $\frac{R_0}{X_1} \leq 1$ Where: R_0, X_0 and X_1 are defined as above.
Solidly earthed	A terminal connected to the body of the earth via a connection with no intentional impedance. Due to practical considerations (e.g. soil resistivity), solidly earthed equipment may have an impedance to the body of the earth of several ohms or tens of ohms.
TN-C-S system	A system of LV earthing where the neutral and protective functions are combined in a single conductor between the source and the point of supply and separated in the consumer's electrical installation.
Uniform insulation of a transformer winding	The insulation of a transformer winding when all its ends connected to terminals have the same rated insulation level. Also known as a "fully insulated" winding [BS 171 [6]].

2.3.2 Disclosure Classification

Controlled disclosure: controlled disclosure to external parties (either enforced by law, or discretionary).

2.4 Abbreviations

Abbreviation	Description
BIL	Basic Insulation Level
ECC	Earth Continuity Conductor
EHV	Extremely High Voltage
HV	High Voltage
IV	Intermediate Voltage
LV	Low Voltage
MCOV	Maximum Continuous Over Voltage
MV	Medium Voltage
NEC	Neutral Electromagnetic Coupler
NECR	Neutral Electromagnetic Coupler with a Neutral Earthing resistor or intentional resistance per phase
NECRT	NECR with an auxiliary power transformer
NER	Neutral Earthing Resistor
PEN	Protective Earth and Neutral (conductor)
SWER	Single Wire Earth Return

2.5 Roles and Responsibilities

It is the role and responsibility of the Distribution and Transmission Divisions to ensure that this standard is implemented.

2.6 Process for monitoring

The Standards Implementation section of Design Base and OU Support is responsible for monitoring that the standard is adhered to at all times.

2.7 Related/Supporting Documents

This document supersedes revision 0 of DST 34-2149.

3. Neutral earthing standard

Eskom Distribution and Transmission's neutral earthing standard is described per voltage level category: HV, MV, IV and LV.

3.1 Extra high voltage networks

3.1.1 Earthing of transformer EHV neutrals

Transformer windings rated for voltages above 132kV use fully graded insulation with the result that the neutral points of such windings must be solidly earthed.

3.2 High voltage networks

3.2.1 Earthing of transformer HV neutrals

High voltage networks shall be effectively earthed at the source substation. That is, the HV neutral of the EHV/HV transformers or the secondary (load-side) neutral of HV/HV source transformers shall be solidly earthed.

Note: In many cases, source substation transformers are autotransformers. The neutral is then common to both the primary and secondary windings, and shall be solidly earthed.
The Thévenin sequence impedances at the source substation busbars shall comply with the criteria for effective earthing as defined in Section 2.3.

The HV neutrals of load transformers (e.g. HV/MV transformers, or the primary-side winding of HV/HV transformers) shall be operated unearthed, except where:

a) The transformer winding has fully graded insulation. The affected transformer's HV neutral shall be solidly earthed.

Note: Historically, 132kV transformer windings have been specified with fully graded insulation (i.e. the BIL of the neutral terminal was 110kV). This was amended to partially graded in Revision 8 of DISSCAAD3 (2007), now 240-68973110 [16] (i.e. the BIL of the neutral terminal was increased to 250kV). All other transformer HV windings have historically been specified with partially graded insulation.

b) The transformer is an autotransformer. The transformer neutral shall be solidly earthed.

c) Single pole tripping is applied on the HV network. Transformers installed at each end of the feeder with single pole tripping shall have their HV neutrals solidly earthed. Network studies may determine other HV neutrals on the affected network which shall be solidly earthed, so as to reduce to an acceptable level the zero sequence current flow on neighbouring HV feeders during a single pole open condition.
d) Network studies determine that by not earthing some or all load transformer HV neutrals that the healthy phase voltages exceed 80% of the nominal phase-to-phase voltage under the condition of a bolted single phase-to-earth or phase-to-phase-to-earth fault on the network. The results of the studies shall be used to determine which transformer's HV neutrals shall be earthed to avoid the over voltage conditions.
e) Network studies determine that certain load transformer HV neutrals must be earthed in order for the network earth fault protection to function adequately (i.e. with adequate sensitivity and selectivity). The results of the studies shall be used to determine which transformer's HV neutrals shall be earthed in this case.

f) The transformer is supplied via a radial feed and there is a high risk of single phasing of the HV line (e.g. in an area prone to conductor theft). The affected transformer's HV neutral shall be solidly earthed.

Note: Earthing of the transformer HV neutral in this case serves to avoid the risk of high transient over voltages caused by ferro-resonance under the condition of one or two broken conductors on the supply feeder.

Where transformer HV neutrals are left unearthed, the neutral terminal shall be protected by a suitable surge arrester:

a) For a 66 kV, 88 kV or 132 kV partially graded winding, the neutral surge arrester Maximum Continuous Over Voltage (MCOV) shall be 48kV, with a protective level/maximum residual voltage of 165kV (see Buyer's guide drawing D-DT-6212).

b) For a 44 kV partially graded winding, the neutral surge arrester MCOV shall be 36kV, with a protective level/maximum residual voltage of 125kV.

Note: The neutral surge arrester is provided so as to protect the neutral terminal (which has a lower BIL than the line terminals) from damage in the case of simultaneous voltage surges entering the star windings from two or more HV line terminals.

3.2.2 Earthing of HV shunt capacitor bank neutrals

The earthing methodology for a shunt capacitor bank depends on the three main aspects:

a) The avoidance of resonant conditions;
b) The fusing technology of the capacitor cans, which may be fuseless, or internally- or externallyfused; and

c) The capacitor bank configuration, which is determined mainly by the size of the bank and may be single- or double-star or an H-type configuration (amongst others).

The specific neutral earthing arrangement for HV shunt capacitor banks shall be determined on a case by case basis. TGL 41-379 [19] may be used as a guide in this regard.

3.3 Medium voltage networks

3.3.1 Earthing of transformer MV neutrals

Except as allowed in Section 3.2.2, the neutral point of a MV network shall be resistively earthed under all operating conditions. This requires that the neutral point be earthed via a suitable Neutral Earthing Resistor (NER). In the case of a HV/MV power transformer featuring a delta-connected MV winding, the neutral point of the MV network shall be provided and earthed by means of Neutral Electromagnetic Coupler (NEC) with internal NER, known as a Neutral Electromagnetic Coupler with Resistor (NECR), in accordance with 240-57648848 [14]. Historical designs whereby the NEC and NER were provided as separate items of plant are also permitted.
Note: It is common practice to include an auxiliary MV/LV transformer in the same tank as the NECR giving rise to the designation NECRT. The presence or absence of an auxiliary transformer in the NECR is not relevant to this document, and all references to NECRs should be taken to include NECRTs.
Specific requirements for the earthing of star-star transformers without delta tertiaries are provided in Section 3.2.2

3.3.1.1 Fault current contribution per neutral earthing point

In new installations, the NER or NECR for each point of MV neutral earthing shall be specified such as to limit the earth fault current contribution per neutral earthing point as follows:

a) In overhead (typically rural) distribution networks: 360A; and
b) In underground (typically urban) distribution networks: 960A.

Note 1: As per 240-56356396 [12], MV windings of station transformers at Eskom power stations are to be earthed using 360A NECRs or NERs.

Note 2: NECRs rated for 960A are applied so as to provide higher earth fault currents for faster operation of fuses and more definitive operation of self-powered relays as are applied in ring main units on MV cable distribution networks. See also SCSASACB6 [11].

3.3.1.2 Maximum number of neutral earthing points provided from a common earth mat

In an effort to limit the total earth fault current and the associated touch potentials imposed at the structures of faulted equipment, a maximum of three NEC/NECRs as per Section 3.2.1.1 shall be applied per overhead or underground distribution network. Networks including sections of both overhead and underground feeders shall be treated as overhead networks for this purpose. In cases where each HV/MV or MV/MV power transformer provides its own point of MV neutral earthing, this requirement effectively limits the maximum number of paralleled supply transformers to three.

Note: This requirement is derived from the calculated touch potentials appearing on the MV earth electrode at MV/LV distribution transformers in the event of a phase-to-tank fault. See DST 34-1985 Annex C.

Medium Voltage Industrial supply networks may be provided with more than three points of MV neutral earthing, subject to agreement between Eskom and the affected Customer(s). Except where agreed otherwise by Eskom and the Customer, the standard shall be to use 360A NER/NECRs in these applications. Neutral earthing of MV Industrial supplies shall be in accordance with SANS 10200 [3].

As per 240-56356396 [12], MV auxiliary supplies from station transformers at Eskom power stations are earthed at a single point only (providing approximately 300A of fault current).

Except in the cases outlined in Section 3.2.1.3 below, the neutral of each MV network shall be earthed from a common earth mat, usually from the source substation. This requires that the MV neutrals of load transformers (e.g. MV/LV transformers, or the primary-side winding of MV/MV transformers) shall be operated unearthed.

3.3.1.3 Neutral earthing points provided from separate earth mats

Customers (including Embedded Generators) requiring to provide an additional point of neutral earthing to an Eskom MV network (for example, to facilitate islanded operation of his plant), and which will not be provided from the same earth mat as the network's neutral earth connection shall do so only with the written permission of the Distribution Operating Unit's Maintenance and Operations manager. The following arrangement may be permitted in this case:

The Customer operates a switched neutral earth such that the Customer's neutral earthing point is earthed no more than 200ms prior to disconnecting the supply (and the earthing point) from the Eskom network, and disconnected from earth within 200ms upon re-connection of the Customer network to the Eskom MV network.
Provision shall be made for the detection of a failed neutral earthing switch, either in the open or closed positions. The control system shall isolate the Customer supply point from the Eskom network within 500ms in the event that the neutral earthing switch fails in the closed position.

3.3.2 Neutral earthing of MV-MV star-star transformers without tertiary windings

Most, if not all, MV/MV star-star transformers are designed without delta tertiaries, and with both windings uniformly insulated. These transformers shall be operated with the primary (source-side) winding unearthed and the secondary (load-side) winding either resistively or solidly earthed.

The standard allows one of the three neutral earthing methodologies for the secondary (load-side) winding:

a) Solid earthing. This requires that the transformer's zero sequence impedance is measured for the configuration of the primary (source-side) winding unearthed, secondary (load-side) winding solidly earthed. Solid earthing may only be applied if network simulations using the measured transformer impedances confirm that the maximum earth fault level on the load-side network is less than three times the fault current value of Section 3.2.1.1 for the specific network type in question.

Note: The test procedure for a transformer zero sequence impedance test is given in 240-65216748 [15].

b) Resistive earthing via an NER (Preferred). In addition to performing the transformer zero sequence impedance measurements in (a) above, a resistor of the correct ohmic rating and wattage shall be installed between the load-side neutral and earth such as to limit the earth fault current contribution from each transformer to approximately those values stated in Section 3.2.1.1.

Note: This requirement has historically been met via the application of 20 ohm resistors for 11kV windings and 40 ohm resistors for 22kV windings. The resistors are rated to carry rated fault current for 10 seconds.

c) Resistive earthing via a standard (external) NECR. Both transformer neutrals shall be left unearthed in this case. Where an NECR is applied, the protection design shall ensure that the NECR forms part of the main transformer differential and/or Restricted Earth Fault protection zone.

3.3.3 Neutral earthing of power transformer tertiary windings

Delta-connected tertiary windings are provided on some Star-Star configuration power transformers and most auto transformers so as to provide a path for third harmonic currents amongst other reasons. Tertiaries are normally provided at MV voltage levels and, applied in conjunction with suitable MV/LV transformers, may be used to provide a substation's auxiliary supply. Alternatively, the tertiary may be unused.

The standard neutral earthing arrangement for delta tertiaries applied for the provision of a substation auxiliary supply, and in applications where the tertiary is unused is that the tertiary winding is operated unearthed, but with all three phases protected by surge arresters (rated at the tertiary nominal voltage level).

NOTE: Prior to the early 1970's, Eskom's philosophy for tertiary winding neutral earthing was to earth one phase of the delta, and protect the remaining phases with surge arresters (rated for full phase-to-phase voltage). This was discontinued in favour of the above philosophy owing to improved protection of the tertiary winding for surges transferred from the primary windings.
Historically, some transformer tertiary windings were used to provide a normal or emergency supply to MV distribution feeders. This practice has been largely or completely discontinued due to the high risk of tertiary winding failure due to frequent faulting on the MV network, thus compromising the transformer whose

primary role is to transform HV voltages. Where such applications still exist the neutral earthing shall be as per a conventional MV distribution network: resistively earthed via a 360A or 960A NECR as per the foregoing sections.

3.3.4 Earthing of MV shunt capacitor bank neutrals

Shunt capacitor banks shall be installed in a delta configuration or an un-earthed star such as not to provide an additional point of neutral earthing to a MV network.

3.4 Intermediate voltage networks

These are typically 3.3kV networks that are derived via a step-down MV/IV transformer or from a step-up LV/IV transformer, and use a specific cable technology for low cost distribution. Intermediate Voltage technology is presently not supported by Eskom with the result that no new IV networks will be designed or installed. The neutral earthing of existing IV networks shall be in accordance with the prevailing standards at the time that they were designed. In this regard, the user is referred to the following archived standards:

- SCSASAAK7 [9] (obsolete), Single point underground supply; and
- SCSASAAK8 [10] (obsolete), Intermediate Voltage Reticulation

3.5 Low voltage networks

3.5.1 Earthing of transformer LV neutrals

The neutral earthing standard for overhead and underground LV networks is governed by the same safety considerations. Unless the earth electrode resistance at the distribution transformer is 1 ohm or less, the MV (protective and surge arrester) and LV (neutral) earthing systems are required to be separated. This requires that, in addition to a transformer MV earth electrode, the LV neutral shall be solidly earthed using a separate LV earth electrode. This practice ensures that the two systems (MV and LV) are separated from each other to avoid the transfer of dangerous potentials from the MV network to the LV network in the event of a MV earth fault occurring onto the transformer tank.
An exception to the above is made for some remote transformer installations supplying unmanned sites (e.g. the auxiliary supply to pole mounted auto-reclosers), whereby the MV and LV earths are combined despite the earth electrode resistance exceeding 1 ohm. See DST 34-1985 [18] Section 4.1.1 for further details
Practical considerations dictate that the MV and LV earths are generally separated on transformers installed in overhead networks as it is extremely difficult to obtain an earth electrode resistance of less than 1 ohm. The MV and LV earths are normally combined at transformer installations on underground networks as the Earth Continuity Conductor (ECC) and/or cable armouring, coupled with remote substation earth mats are used to establish extremely low resistances to true earth.

Where separate MV and LV earthing systems are installed, a neutral surge arrestor is installed between the two earthing systems to protect the transformer LV windings from excessive voltage stress in the presence of lightning surges. Significant transient voltages can occur between the transformer tank and earth when the transformer MV arresters operate in the event of lightning surges and the associated currents are discharged to earth.

The detailed MV and LV earthing requirements and applications are set out in DST 34-1985 [18].

3.5.2 Type of LV system earthing

New LV distribution systems shall use the TN-C-S earthing system in accordance with SANS 10292 [4] whereby the neutral and protective functions are combined in a single conductor between the source and the point of supply and are separated in the customer's electrical installation.

If the protective earth/neutral (PEN) conductor is broken, dangerous voltages to earth may exist at the Customer’s earth terminal. It is therefore essential to pay particular attention to the conductor’s integrity throughout the design, construction, maintenance and operation of the LV distribution system;

The preference is for LV networks to use single-point earthing at or near the distribution transformer. Multiple-point earthing (typically applied to mitigate the risk of floating neutral/earth voltages due to broken neutral conductors or poor joint integrity) shall be applied with caution. Refer to SANS 102092 [4] for further details.

3.5.3 Earthing of customer premises

Customer installations shall comply with the earthing requirements of SANS 10142-1 [2].

3.6 Implementation

This standard shall be implemented during network strengthening or normalisation projects. Specific focus shall be given to the normalisation of the neutral earthing of MV networks as this area was previously without a formal neutral earthing standard. This must include an audit of all bulk supply points from MV feeders to ensure that existing customers have not applied “unauthorised” neutral earthing points to the network. An inconsistent neutral earthing standard (specifically on MV networks) has critical safety implications.

For the purposes of the implementation of this standard, it is critical that the existing neutral earthing arrangement of transformers and capacitor banks is accurately reflected on single-line diagrams, switching diagrams and information systems such as Smallworld.

4. Authorisation

This document has been seen and accepted by:

Name and surname	Designation
Danie du Plessis	Senior Manager Grids
Thys Moller	General Manager-Office of the GE (Distribution)
Prudence Madiba	Senior Manager Electrical and C&I
Comfort Masike	Senior Manager Technical Operations
PASC C&V List	

5. Revisions

Date	Rev	Compiler	Remarks
March 2016	1	T Cornelius	Revision of DPL 34-2149 Rev.0. Document registered under 240-76624507. Title changed from “Policy for neutral earthing of electrical networks” to delete reference to “Policy”. Document reformatted document updated and revised References updated. Section 3.1.1(c) amended, no longer requiring all transformer neutrals on the network to be solidly earthed in cases where single pole tripping is used. Section 3.3.1. References to station transformer neutral earthing added. Section 3.3.1.3. Alternative option whereby
Aug 2010	0	MGB Madonsela, SJ van Zyl	First issue of DPL 34-2149.

6. Development team

The original document DPL 34-2149 was compiled by Gert Madonsela and Stuart van Zyl with input from: Derrick Delly, Rhett Kelly, Sidwell Makhaye, Bruce McLaren, Rudi Moolman, Thandiwe Nkambule, Thiemuli Singo and Gavin Strelec. Dr Hendri Geldenhuys and Dr Clinton Carter-Brown provided valuable comments on the draft manuscript.

The latest revision of the document was undertaken by Tshego Cornelius and Stuart van Zyl.

7. Acknowledgements

The section on neutral earthing of HV networks draws heavily from the work of Alan Ware (as published in SCSAGAAK6)

ANNEXURE 'K'

FORM OF ELECTRICITY ACCOUNTS GUARANTEE

To: **ESKOM HOLDINGS SOC LTD**

LETTER OF GUARANTEE NUMBER _____ FOR THE SUM OF _____ (THE 'GUARANTEED AMOUNT') ISSUED ON BEHALF OF _____ [*INSERT FULL NAME AND REGISTRATION NUMBER OF CUSTOMER*] (HEREIN REFERRED TO AS THE 'CUSTOMER')

Eskom Reference / Account Number _____

1. We, the undersigned _____ [INSERT FULL NAME AND IDENTITY NUMBER] and _____ [INSERT FULL NAME AND IDENTITY NUMBER] in our respective capacities as _____ [INSERT CAPACITY] and _____ [INSERT CAPACITY] of _____, registration number _____ [INSERT FULL NAME AND REGISTRATION NUMBER OF BANK] ("the Bank"), duly authorised thereto, herewith provide the Bank's undertaking to pay Eskom Holdings SOC Ltd, registration number 2002/015527/30 ("Eskom") an amount not exceeding the Guaranteed Amount on receipt of a written demand/s for payment from Eskom stating that the amount of the demand is due and payable by the Customer to Eskom in terms of the Electricity Supply Agreement concluded or to be concluded between Eskom and the Customer (the 'Agreement').

2. The Bank's liability under this guarantee is principal in nature and is not accessory or subject to any other agreement or the Agreement.

3. The Bank's liability will not be reduced, limited or affected by any alteration of the terms of the Agreement, or any other agreement made between the Customer and Eskom, or the Customer going into business rescue, or adopting or implementing any business rescue plan as contemplated in chapter 6 of the Companies Act 71 of 2008.

4. The Bank will pay on written demand from time to time, made by Eskom, which demand must be signed by an Eskom official who is authorised and delegated to sign it. The demand must state the amount due and payable and the Bank will not determine the validity of the demand, the correctness of the amount demanded, or become party to any claim or dispute of any nature which any party may allege. The Bank will not be entitled or obliged to verify the authority and/or delegation of the Eskom official.

5. The guarantee is neither negotiable nor transferable, is restricted to the payment of a sum of money only and is limited to payment in aggregate of the Guaranteed Amount.

6. The Bank reserves the right to withdraw from this guarantee on giving 3 (three) calendar months' written notice ("the Notice Period") to Eskom of its intention to do so.

7. This guarantee will thus expire upon expiry of the Notice Period and will then be of no further effect, whether returned to the Bank or not. Any claim which arises after the expiry of the Notice Period will be invalid, unenforceable and will not be entertained by the Bank. However, any claims which arose or amounts which became due under this guarantee while valid, including during the Notice Period, may still be submitted for a period of 3 (three) calendar months after expiry of the Notice Period.

8. The cancellation, or any change to the terms and/or conditions, of this guarantee, must first be agreed to in writing by Eskom, the Customer and the Bank.

9. If the Bank should exercise its option to withdraw from the guarantee per paragraph 6 above, this will not be viewed as a cancellation or change of the guarantee for the purposes of paragraph 8.

10. The Guaranteed Amount will be paid free of exchange, set-off, deduction or counterclaim or any withholding, in immediately available funds, into a bank account nominated by Eskom in writing. This guarantee will be of no further effect once the aggregate payments made under this guarantee are equal to the Guaranteed Amount.

11. The original guarantee, if still available, must be returned to the Bank once it is of no further effect.

12. Eskom will be able to submit claims on a copy of this guarantee if the original cannot be found, if it provides to the Bank, to the Bank's satisfaction:

12.1. an indemnity, validly issued in terms of Eskom's corporate governance procedures prevailing at the time, the Public Finance Management Act 1 of 1999 (if applicable), or any other applicable legislation prevailing at the time, signed by an Eskom official who is authorised and delegated to sign it, limited specifically and only as to any payment made on the lost original guarantee, and not exceeding an amount equal to the Guaranteed Amount; and

12.2. an affidavit, signed by an Eskom official who is authorised and delegated to depose to such an affidavit, that the original guarantee cannot be found. The Bank will not be entitled or obliged to verify the authority and/or delegation of the Eskom official.

13. Eskom chooses the following addresses for communication in connection with this guarantee:

13.1. Physical Address: Megawatt Park
Maxwell Drive
Sunninghill Ext. 3
2199
Sandton

Postal Address: _____
_____
_____

e-Mail address: _____

To be marked for the attention of: _____ [Insert only POST DESCRIPTION of Recipient].

14. The Bank chooses the following addresses for all purposes in connection with this guarantee:

14.1. Physical Address: _____
_____
_____
_____
_____

Postal Address: _____
_____
_____

e-Mail address: _____

To be marked for the attention of: _____ [Insert only POST DESCRIPTION of Recipient].

15. This guarantee will be governed by South African Law and is subject to the jurisdiction of South African Courts.

16. Where written and/or signed notification is required in terms of this guarantee, the terms "writing" and "signed" or their analogous forms, will be construed as excluding sections 12 and 13 of the Electronic Communication and Transaction Act 25 of 2002 or any replacement of amendment thereof, save that such notification, whatever its title, may be scanned after manual signature and then sent electronically.

NATIONAL ENERGY REGULATOR OF SOUTH AFRICA

GUIDELINES ON ELECTRICITY RESALE

Issued by

The National Energy Regulator 526
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0007

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ACRONYMS AND ABBREVIATIONS

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ACRONYMS AND ABBREVIATIONS

DoE	Department of Energy
ERA	Electricity Regulation Act
EPP	Electricity Pricing Policy
ER	Energy Regulator
ESI	Electricity Supply Industry
FBE	Free Basic Electricity
MW	Megawatt
SLA	Service Level Agreement
NERSA	National Energy Regulator

DEFINITION

Trading:	According the Act it is ‘the buying or selling of electricity as a commercial activity’ therefore traders must be licensed or registered.
Reseller:	The Electricity Pricing Policy refers to a reseller as a ‘non-licensed trader of electricity’.
Reticulation:	Means the trading or distribution of electricity and includes the services associated therewith.
Supply authority:	Licensed distributors of electricity.
Licensed Authorities:	Distributors of electricity who have obtained a licence to supply electricity from NERSA.

1. BACKGROUND

The resale of electricity in the South African electricity supply industry (ESI) is a growing business. Section 7 of the Electricity Regulation Act, 2006 (No. 4 of 2006) ('the ERA') makes provision for the licensing of Generation, Transmission, Distribution, export or import and trading activities by the Energy Regulator.

Electricity resale by default falls under trading, where the buying and/or selling actually takes place. However, in South Africa, the resale of electricity remains 'unregulated' as businesses involved in electricity resale activities are not licensed or registered with any regulatory authority.

2. NATIONAL ENERGY REGULATOR MANDATE

The National Energy Regulator (NERSA) is a regulatory authority established as a juristic person in terms of section 3 of the National Energy Regulator Act, 2004 (Act No. 40 of 2004). NERSA's mandate is to regulate the electricity, piped-gas and petroleum pipeline industries in terms of the Electricity Regulation Act, 2006 (Act No. 4 of 2006), Gas Act, 2001 (Act No. 48 of 2001) and Petroleum Pipelines Act, 2003 (Act No. 60 of 2003).

The National Energy Regulator Act, 2004 (Act No. 40 of 2004) serves as the establishing legislation of the Energy Regulator and promotes the protection of the interests of end users of electricity within the ESI.

The ERA mandates NERSA to, among other things, regulate trading activities. Electricity resale falls under trading activities (buying and selling of electricity), however, unlike electricity traders that are licensed, resellers remain unregulated (non-licensed and/or unregistered). Section 4(ii) of the ERA specifically mandates the Energy Regulator to regulate prices and tariffs within the electricity supply industry.

3. REGULATION OF ELECTRICITY RESALE

The following points outline the regulation of the electricity resale activity:

3.1. The Electricity Regulation Act, 2006 defines trading as 'the buying or selling of electricity as a commercial activity'. Moreover, the ERA provides that certain commercial activities must be registered rather than licensed (see Sections 8 and 9).

3.2. Section 155(6)(a) and (7) Schedule 4B of the Constitution of the Republic of South Africa, 1996 (Act No. 108 of 1996) lists electricity reticulation as a functional matter of local government in South Africa. Each municipality is a service authority for the electricity reticulation function for the whole of its jurisdictional area. This means that the municipality is responsible for ensuring that electricity reticulation services are provided to all customers within its area/s of jurisdiction. It further states that 'each municipality has the right to set tariffs in respect of electricity in its area/s of jurisdiction'.

3.3. The South African Local Government Association (SALGA) is a voluntary body representing all nine provincial local government associations. In terms of the Constitution, SALGA entered into a partnership with all electricity distributors, including Eskom, in the municipal area of supply through a Memorandum of Understanding and active partnering agreement signed on 30 October 2014 to ensure a cooperative and collaborative working relationship. This will help to address service delivery challenges impacting on the supply of electricity.

3.4. In terms of Section 74 of the Municipal Systems Act, 2000 (Act No. 32 of 2000) municipalities must adopt and implement a tariff policy on the levying of fees for services, whether provided by or on behalf of the municipality.

3.5. Each municipality has the constitutional right within its area/s of jurisdiction to determine, through their by-laws, the conditions for electricity supply and the situations when the supply of electricity will be limited or discontinued.

3.6. In terms of these guidelines, all bulk connections that will be used to resell electricity to end users beyond the bulk meter should register with the supply authority.

4. OBJECTIVE OF THE GUIDELINES

The objectives of these guidelines are:

4.1. to ensure that where electricity is resold to persons by non-licensed entities, it takes place in an environment that is efficiently regulated in terms of standards of supply and service, tariffs and other related matters;

4.2. to establish an environment where the licensed authorities can effectively perform, monitor and carry out the supervision of electricity reselling, including but not limited to:
(i) how reselling is priced,

(ii) billing procedures,

(iii) standards of reselling service and supply,

(iv) eliminating situations where the reseller's methods are unfair, anticompetitive or abusive,

(v) disconnections, and

(vi) dispute resolution;

4.3. to ensure that resellers have the resources they need so that they can and must satisfy the ongoing needs of the end users they supply; and

4.4. to create a regulatory framework to help with the regulation of electricity resale in South Africa to make sure that resellers comply with Policy Position 43 of the Electricity Pricing Policy, GN 1398 of 19 December 2008 ('the EPP'). The EPP states that non-licensed traders of electricity must provide electricity at terms, tariffs and a level of service that are not less favourable than those provided by the licensed distributor in the area.

5. APPLICABILITY OF THE GUIDELINES

The following outlines the boundaries where electricity resale is concerned in terms of these guidelines:

5.1. The Electricity Pricing Policy refers to resellers as 'non-licensed trader[s] of electricity'. For the purpose of these guidelines, a reseller is a person, corporation or organisation where there is a **bulk supply point**, beyond which there is reselling of electricity to a number of units that are individually metered.

5.2. 'Reseller', for the purpose of these guidelines, refers to a property owner or the body corporate who has a **bulk supply point** and whose core business is reselling electricity to a number of customers.

5.3. Resellers' customers are typically blocks of flats in high density housing complexes, residential flat buildings, residential gated sectional title units and/or stand-alone houses in complexes, shopping malls or shopping complexes, and commercial buildings (including offices). Following below are examples of different types of resellers that operate within the South African electricity supply industry.

Reseller example 1

A property owner wants to resell electricity to a residential unit within an apartment block. The property owner decides to outsource billing services, connections and complaints handling to a service provider. The service provider has a contract with the body corporate and buys electricity from the licensed distributor on behalf of the body corporate. The body corporate also has a contract with the licensed distributor to supply the body corporate with electricity.

Reseller example 2

A property owner wants to resell electricity to residential tenants within an apartment block. The owner administers billing, connections and complaints handling. The property owner buys electricity from the licensed distributor and resells to the tenants. The contract with the licensed distributor is in the property's or its owner's name.

Reseller example 3

A body corporate wants to resell electricity to residential stand-alone houses within a complex. The body corporate decides to outsource billing services, connections and complaints handling to a service provider. The service provider has a contract with the body corporate and buys electricity from the licensed distributor on behalf of the body corporate.

Reseller example 4

A property owner wants to resell electricity to businesses within a block of flats or shopping centre or mall. The property owner decides to outsource billing services, connections and complaints handling to a service provider. The service provider has a contract with the property owner and buys electricity from the licensed distributor on behalf of the property owner.

6. REQUIREMENTS TO OPERATE AS A RESELLER

The following are the requirements to operate as a reseller:

Conventional Meter Customers

6.1. For Conventional Meter customers, the reseller needs to be able to take meter readings and supply the customer with a bill with the following information:

(i) the amount of electricity used in kilowatt hours;

(ii) the tariff per kilowatt hour;

(iii) the time between billings (the billing cycle);

(iv) the total amount charged for electricity in Rand; and

(v) the contact details of the reseller (telephone number and email address).

6.2. The reseller must be able to provide a service to test the meter if the customer requests it.

6.3. The reseller should stay in touch with its customers by either SMS or letters, especially to let customers know about disconnections.

6.4. The reseller's main relationship with its customers is the sale of electricity.

6.5. The reseller must operate and maintain its electricity network in such a way that the reseller complies with all applicable requirements as if it had been licensed. This includes, but is not limited to, the requirements for quality of service and supply.

6.6. Where there is a common area for instance parking lot and street lights, the amount of electricity units that were used and the approved tariff that was charged should be clearly stated and should be divided by the number of customers within that bulk supply area or complex.

6.7. The reseller must provide each and every one of its customers with an emergency telephone or cell phone number. The customer must be able to contact the reseller at all times in case of power failure or emergency.

6.8. The reseller must respond to power failures or emergencies in a manner that is, according to the situation, suitable, within a reasonable amount of time and effective in addressing the failure or emergency.

6.9. In the event of a power failure, the customer must contact the reseller, not the licensed authority. The reseller must inform its customers of this procedure.

6.10. The reseller must provide the licensed distributor with:

(i) information on the customer categories supplied by the reseller and, where there are mixed customer categories, should be stated (if any), including the number of customers within each customer category; and

(ii) a sample of an invoice it plans to issue to its electricity customers, clearly showing the energy consumed, energy amount, basic charge, if any, in the structure and the specified period of the invoice on the application.

6.11. Resellers must familiarise themselves with the tariffs applicable to the supplying licensee and must have the applicable tariffs available at all times.

Prepaid Meter Customers

6.12. National Standard NRS 057:2009 outlines the Code of Practice for Electricity Metering. All prepaid meters should follow this Code.

6.13. The resellers must charge an approved tariff and the receipt received for the tokens should show the breakdown of the costs.

6.14. The reseller must provide each and every one of its customers with an emergency telephone or cell phone number. The customer must be able to contact the reseller at all times in case of power failure or emergency.

6.15. The reseller must respond to power failures or emergencies in a manner that is, according to the situation, suitable, within a reasonable amount of time and effective in addressing the failure or emergency.

6.16. In the event of a power failure, the customer must contact the reseller, not the licensed authority. The reseller must inform its customers of this procedure.

7. REQUIREMENTS FOR ELECTRICITY RESALE

The following requirements apply to the licensed authority and the electricity reseller:

7.1. In order to take part in electricity reselling, the licensed authority must complete a service level agreement with a reseller to operate in its area of jurisdiction.

7.2. The service level agreement should contain the following conditions, among others:

(i) The reseller's distribution system is subject to the safety standards applied by the licensed authority.

(ii) The reseller's distribution system, which is physically connected to the system of the supplying licensee, is subject to inspection and approval by the licensed authority. For this purpose, the reseller must give the licensed authority access to the system and information relating thereto as may be required by the licensed authority.

(iii) Where the reseller's distribution system is a medium or high voltage system, the reseller is responsible for the safe design, installation and operation of such system. The reseller must comply with all legal requirements necessary to free the licensed authority from responsibility for the safety of the reseller's distribution system.

(iv) The design and installation of the reseller's electricity network must be in compliance with the connection requirements of the licensed authority, as well as with all applicable laws, regulations and standards.

(v) Section 22(5) of the ERA makes provision for a licensee to terminate supply. The electricity reseller must adhere to this provision.

(vi) All customers within a development (for example the body corporate, office and block of flats) have the right to request supply directly from the licensed authority.

8. TARIFF PRINCIPLES

The details of the tariff design and principles are outlined below.

8.1. The reseller must supply its customers with information on tariffs and tariff structures. The reseller must also explain the tariffs to the customers to enable the customers to determine whether their electricity accounts are correct.

8.2. Where a licensed authority has offered a reseller a bulk tariff (price at which the licensed authority has contracted with the reseller), that tariff should enable the reseller to charge a tariff to its end customer that will mirror the tariff of end customers supplied by the licensed authority. A bulk tariff should mean that a reseller is able to make a profit when reselling

electricity to its end customers at a tariff similar to the tariff that the licensed authority charges its end customers.

8.3. The tariff rates and tariff structure according to which electricity is resold must be identical to the approved tariff rates and tariff structure that would have been applicable had the customer been supplied with electricity by the supplying licensee.
This is in line with Electricity Pricing Policy [Position 43(a)], which states that:

> *Non-licensed traders of electricity shall provide the electricity at terms, tariffs and services not less favourable than that provided by the licensed distributor in the area*.

8.4. The reseller is not entitled to recover the cost of running their own electricity business through the charges that are made for electricity. These are separate from the resale costs – they are costs that the reseller incurs in maintaining their property and administering their own contracts with the end customers. These are not subject to the resale tariff.

8.5. The Sectional Titles Act, 1986 (Act No. 95 of 1986) allow landlords to recover the cost of services through levies to ensure transparency in cost recovery. No additional costs, such as the cost for meter reading, vending, billing and compliance services may be recovered from the customer since these costs are already included in the relevant tariff.

8.6. Information on the reseller pricing structure, which will be applicable to the end customer, shall mirror the approved tariff structure for the licensed distributor in the area of supply.

8.7. The reseller may choose to use the large power (commercial or industrial) tariff offered by the licensed authority. The reseller should then resell to its end customer at a tariff that will mirror the tariff charged by the licensed authority to its end customers.

8.8. The Free Basic Electricity (FBE) benefits, if granted by the municipality, should be passed on to eligible end customers supplied by the reseller. Customers who qualify for FBE should be registered with the local authority in order to claim the units from the municipality.

8.9. If the reseller charges customers a tariff that is higher than the approved tariff, the reseller may face civil proceedings for the recovery of the amount overcharged and may be required to pay interest on the amount overcharged.

9. REGISTRATION REQUIREMENTS

The following are required for the registration of a reseller:

9.1. Section 7 of the ERA makes provision for the licensing of Generation, Transmission, Distribution, export or import and trading activities by the Energy Regulator. In terms of Section 4 (a) of the ERA, a person that does not hold a licence must be registered.

9.2. Non-licensed distributors of electricity, as defined in these guidelines, that do not hold a distribution licence must register with the licensed authority from which the bulk connection was obtained in the manner set out in these guidelines.

9.3. A reseller must register with the licensed authority by completing the registration form provided by the licensed authority for this purpose. The reseller must also submit the required information as outlined in these guidelines, as well as the required service level agreement to the licensed authority.

9.4. Such registration can, according to the discretion of the licensed authority, be completed in such a manner as the licensed authority deems fit.

10. REPORTING REQUIREMENTS OF THE DISTRIBUTOR TO NERSA

The Distributor must report to NERSA in terms of the following:

10.1. The Distributor must register and maintain a database and report to the Energy Regulator on new bulk connections.

10.2. The Distributer must report on the following information for each of the Distributor's financial years and it must be submitted at the same time as the D-forms:

(i) date of registration and commissioning of the bulk meter installation;

(ii) installed capacity;

(ii) customer name and account;
(iv) stand or erf number; and

(v) tariff complaints that have been received from customers.

11. COMPLAINTS AND DISPUTE PROCEDURE

Between the Customer and Reseller

11.1. If the customer has a complaint about tariffs, billing or service quality, the customer should first raise their concerns with the reseller. If the complaint cannot be resolved, the customer may raise its complaint with the licensed authority. If the complaint can still not be resolved, the matter may be referred to NERSA.

11.2. The reseller must provide a complaint facility or service point for customers. The customer's invoice or statement must contain the details on how to access the complaint facility or service point. The details should also be reflected in the service agreement with the licensed authority upon registration.

Between the Reseller and Licensed Authority

11.3. If there is a dispute between the reseller and the licensed authority, it should first be raised between the two parties. If the dispute cannot be resolved, the matter may be referred to NERSA.

12. EXCLUSIONS

The guidelines allow the following persons or businesses to be excluded from being regarded as resellers:

12.1. property owners who do not have a bulk point but supplies electricity to different units on their property;

12.2. property owners with tenants where the electricity portion is part of the fixed rental cost and no profit is made or where electricity is supplied as a community service; and

12.3. persons or businesses who rent at one site or to a defined group of customers, and who have no intention of expanding their electricity sales.

13. CONCLUSION

The following conclusions were drawn:

13.1. These guidelines provide electricity resale principles until the development of the Electricity Licensing Regulation has been completed. The guidelines will be revised from time to time to include lessons learnt from its implementation.

ANNEXURE 'M'

RESELLER REGISTRATION FORM

Name of Entity	Property description	Category (e.g. residential, commercial, own-use etc.)	Number of units per category	Capacity (kVA) per category	Prepaid or conventional metering per category
RIVONIA GATE BODY CORPORATE	PTN 178 AND RE 180 RIVONIA BOULEVARD, EDENBURG				

CUSTOMER to complete	
Tariffs aligned to Eskom tariffs	Yes/No
No vending fees added	Yes/No
Internal network installed at Eskom standard	Yes/No
Metering compliant to Eskom standard	Yes/No

ANNEXURE 'N'

FORM OF CUSTOMER CATEGORIES

Customer Categories	Number of Customers Conventional Meters	Number of Customers Prepaid meters
Households		
Shops		
Common property points of supply		
Etc.		

AUTHORISATION FOR DEBIT ORDER OR AUTOMATIC PAYMENT OF ELECTRICITY ACCOUNT

Eskom	**Application form** **Authorisation for debit order /** **automatic payment of electricity account**	Template id: 240-1443-78833	Rev 01
		Effective date: 1 July 2019	
		Next review date: July 2022	

ACCOUNT PAYER DETAILS

(PLEASE COMPLETE IN BLOCK CAPITALS)

Name & Surname / Company name:	**ID no / Comp registration no:**	**E-mail:**
Electricity account number:	**Cell/Tel (W):**	**Cell/Tel (H):**

Postal address:	**Code:**
Physical address:	**Code:**

BANK ACCOUNT DETAILS

Bank name:	**Branch name:**	**Branch code:**	**Account number:**

Type of account: Savings		Current / Cheque		Transmission	

Maximum monthly deduction Amount: **R** (Amount payable will vary)	Use the maximum payment in previous calendar year plus 20% to cater for production and tariff increases. Maximum allowed is **R1 million** per month or as per legislation.
Deduction date:	Day of debit order deduction (monthly), e.g. between 1st and 7th. [Will be aligned with meter readings and bill payment due dates].
Start date of debit order:	Day ____ Month ____ Year ____

Signed at	**on this**	**day of**	**20**

Signature of account holder:	**Date:**

Name & surname of account holder:

I/we, the undersigned, hereby authorize Eskom (the "Authorization") to debit my/our bank account recorded above with the total amount due/agreed debit order limit on my monthly electricity account from Eskom. I/we further understand and accept the following conditions to this Authorization:

1. That my/our bank account may be debited with the total amount payable on my/our monthly electricity account, subject to the agreed debit order limit, on the due date/debit order day as specified on the electricity account
2. That the Authorization will remain in force until it is revoked by me/us, upon termination of service, change of bank or for any other reason by means of 30 (thirty) days' prior written notice to this effect to Eskom.
3. That Eskom may at any time cancel the Authorization by means of 30 (thirty) days' notice to me/us, with the understanding that the debit order will automatically be cancelled by Eskom after three consecutive debit order returns from the nominated bank.
4. That Eskom will receive payments in terms of this Authorization without prejudice to its rights.
5. Normal conditions of the Electricity Supply Agreement related to late/non-payment will apply if the bank dishonours any payment.
6. That the debit order limit amount will be increased in line with Eskom's annual electricity price increase.
7. If payment is due over a weekend or RSA public holiday, payment will be effected on the next ordinary business day.
8. I/we acknowledge/agree that payment instructions issued from this Authorization will be treated as payment instructions issued by the account holder.
9. I/we agree that cancelling of the Authorization does not affect the validity of the Electricity Supply Agreement in any way.
10. I/we agree that, in the event of cancellation of the Authorization, the account holder is not entitled to a refund for payment received while the Authorization was still active and such amounts were owed by the account holder.
11. I/we hereby Acknowledge and agree that this Authorization may be assigned to a third party if the Electricity Supply Agreement is also assigned to a third party. (The Authorization may not be assigned / ceded in isolation; the Electricity Supply Agreement will need to be assigned / ceded as well).
12. If your debit order payment is cancelled additional security will be requested.
13. If your debit order returns from the nominated bank as unpaid Eskom will levy a fee to recover any administrative and bank fees incurred.

14. In the event where the debit order limit is consistently lower than the due amount, an increase of the debit order limit or payment via other channels must be arranged

NB: ATTACH A STAMPED BANK STATEMENT OR VALID PROOF OF BANKING DETAILS AND A COPY OF YOUR ELECTRICITY ACCOUNT.

FOR OFFICE USE ONLY					**Reference number:**
Abbreviated name as registered with the bank: ESKOM	Beneficiary's address:	Bank account no:	Cheque		
			Transmission		

Annexure 'P'

STANDARD FOR THE ESTIMATION OF LARGE POWER (LPU) METERING DATA ON DAS

See attached document.